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What Drives Policy Responses to the 2026 Energy Shock? First Evidence from the IMF Global Policy Tracker

Tohid Atashbar, Yidan Cheng, Leonardo Indraccolo, Jackson Mandel, Tiffany Munoz-Zegarra, Atsushi Oshima, Noor Rahman, Sergio Rodriguez, Sahra Sakha, Christoph Ungerer, and Aleksandra Zdzienicka with contribution from Antonio David, Borja Gracia, and Raphael Lam

***IMF Working Papers* describe research in progress by the author(s) and are published to elicit comments and to encourage debate.**
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Authorized for distribution by Anna Ilyina
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ABSTRACT: This paper examines the determinants of policy responses to the 2026 energy shock using the newly constructed IMF Global Policy Tracker. The main analysis focuses on measures announced between end-February and early June, while preliminary data covering 175 countries through mid-September shed light on how responses evolved as energy prices began to normalize. The findings point to distinct drivers of policy composition and design. At average public debt levels, greater shock exposure is associated with a larger share of price pass-through measures. As debt rises, this association strengthens, while the relationship between exposure and fiscal shielding weakens. Monetary responses are driven mainly by pre-shock inflation developments, while financial-stabilization measures are more closely associated with reserve adequacy. Policy design—including targeting and temporariness—is shaped more by institutional capacity, inflation, and the political cycle than by shock exposure. The extended dataset shows a gradual shift away from fiscal shielding toward pass-through, demand- and inflation- management measures. Later announcements are more likely to identify beneficiaries but less likely to include explicit expiry dates or sunset provisions. The main findings broadly hold, although some become less statistically significant.

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Keywords:	Energy price shock, Middle East Conflict, Real-time policy tracker, Real-time surveillance, Policy response, Policy space
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Introduction

The conflict in the Middle East triggered a large global energy shock, leading to sharp increases and volatility in oil prices, heightened uncertainty, and renewed concerns about inflation and fiscal sustainability. Country authorities reacted quickly, announcing a broad set of policy measures. Yet these first responses varied substantially in scale and composition. Some countries relied heavily on fiscal transfers, subsidies, and tax relief to shield households and firms. Others allowed greater domestic price adjustment, complemented by monetary tightening, demand-management measures, or supply-side interventions. This paper explores the drivers of this cross-country variation, focusing on measures announced first by 171 countries during the initial three months of the shock, starting from end-February to early June 2026.

The analysis draws on the newly constructed IMF Global Policy Tracker—AI-assisted retrieval with multi-layered expert validation—that provides a near real-time, comprehensive record of announced policy measures.. As the Tracker expands, the analysis incorporates data revisions, additional measures, and richer information on implementation, extensions, and withdrawals. As an illustration, the analysis is also updated to account for policy announcements until September 15 made by 175 countries.

This paper bridges several strands of literature. The first strand focuses on how policy space shapes countries' responses to shocks: pre-crisis fiscal space and market access — including ratings and financing conditions — condition both the scale and the composition of the response (Romer and Romer, 2018; Alberola and others, 2020; Bergant and Forbes, 2023). A second strand emphasizes that institutional capacity, pre-existing policy frameworks, and political incentives determine which instruments are available and how they are designed (Frankel, Végh, and Vuletin, 2013; Coady and others, 2017, 2019; Amaglobeli and others, 2023; IMF, 2025). A third strand concerns measurement. Crisis-era policy trackers established the feasibility of systematic real-time monitoring (Hale and others, 2021), while text-as-data methods have made it possible to convert unstructured policy documents into quantitative indicators (Baker, Bloom, and Davis, 2016; Gentzkow, Kelly, and Taddy, 2019; Caldara and Iacoviello, 2022), and large language models have sharply lowered the cost of classifying policy content at scale (Hansen and Kazinnik, 2023; Korinek, 2023; Ganum and Atashbar, 2026). This paper builds directly on that last strand, using the IMF Global Policy Tracker's instrument taxonomy as its measurement foundation.

This paper contributes to this literature on three fronts. First, it examines how policy space shapes the policy mix, exploring non-linear trade-offs between short-term stabilization, fiscal sustainability, and market distortions. Second, it brings institutions, policy frameworks, the political cycle, and the actions of neighboring countries into the same framework, examining jointly how these constraints shape both instrument choice and design—targeting, temporariness, and speed. Third, it moves beyond survey-based inventories of policy responses to a high-frequency, instrument-level monitoring that relies on natural language processing combined with human oversight that can support real-time surveillance.

Our empirical analysis proceeds in three stages, documenting systematic cross-country associations rather than causal effects. First, we examine the composition of policy responses by their economic function. We group instruments by their macroeconomic trade-offs (e.g., fiscal cushioning versus price pass-through) rather than by administrative taxonomies (see Figure 1 for taxonomies and Table 1 and Annex 1 for grouping). Because these functional groups naturally overlap, we estimate the share of each economic function independently using Poisson pseudo-maximum likelihood (PPML). We test whether a country's pre-shock

policy space dictates how it responded to the energy shock, while controlling for baseline import dependence and pre-existing subsidies to isolate the true marginal response to the shock.

Second, we examine the quality of policy design. We measure this through two observable textual features: targeting (identifying a specific beneficiary group) and temporariness (including a sunset provision). As a complementary exercise, we use a composite index of targeting and temporariness to evaluate whether, and how rapidly, governments incorporated these design features into their response.

Third, we extend the analysis to include policy measures announced from early June to mid-September to shed light on the policy reactions in the later stage of the shock, characterized by a relative normalization of global energy prices.[2]

Our findings point to distinct forces shaping the composition of policy responses and those shaping their design – specifically, fiscal and financing constraints determine which instruments governments use to respond to shocks (composition of policy responses), while inflation pressures, political cycle, and institutional capacity influence how these responses are designed (targeting, duration, and speed of adoption). The results are broadly robust to the battery of tests and extending the data sample.

The functional composition of policy responses was systematically related to the interaction between shock exposure and policy space:

- **Fiscal shielding.** As public debt rose, the association between energy exposure and the fiscal-shield share weakened. This pattern mainly reflected household transfers rather than producer subsidies, suggesting that fiscal space—and possibly administrative capacity—conditioned the extent to which more-exposed economies announced direct budgetary support.
- **Price pass-through**: As public debt rose, the association between energy exposure and the pass-through share strengthened, indicating greater relative emphasis on pass-through announcements among more-exposed economies; sovereign-spread results point in the same direction
- **Real-economy measures**: These measures provided an additional adjustment margin. Demand-management responses were more closely linked to financing conditions than to public debt alone, while the exposed economies relied less on supply-side support as debt rose, particularly when export restrictions were excluded.
- **Monetary responses**: Monetary measures followed a different pattern. More exposed economies relied less on monetary interventions, while inflation exceeding historical norms was associated with a stronger monetary response. Real-economy and financial-stabilization measures provided additional avenues for adjustment.
- **Financial-stabilization measures**: In contrast, these measures were less closely related to debt levels or inflation and more strongly associated with reserve adequacy, suggesting that external buffers influenced countries' ability to deploy exchange-rate and financial-sector tools.

By contrast, policy-design quality was largely unrelated to exposure, public debt, or their interaction. Instead, design features were more closely associated with the political cycle and institutional capacity. Measures

[2] Information on the policy measures and instruments included in the Global Policy Tracker is systematically reviewed and refined as additional information, including on their implementation and withdrawn becomes available.

announced in higher-inflation environments were less likely to be targeted and were slower to incorporate targeted design features; measures introduced during election years were less likely to be temporary; and fragile and conflict-affected states displayed weaker targeting patterns.

The extension of the policy announcements dataset using preliminary data from early June through mid-September shows a gradual shift in the composition of announced policy packages. Fiscal-shield measures account for a declining share, while pass-through, demand-management, and monetary policy measures became more prominent. The key empirical findings based on the end February—early June data broadly hold for the extended data set, although some results become less statistically significant. Greater exposure remains associated with a larger share of pass-through measures, and higher debt continues to strengthen that association; evidence for a debt-conditioned fiscal-shield response, particularly through household transfers, weakens. Later announcements were more likely to name beneficiaries and less likely to state expiry dates or sunset provisions.

The remainder of the paper is organized as follows. Section II describes the construction of the Global Policy Tracker and the policy classification framework. Section III documents the timing, scale, and composition of policy responses. Section IV presents our empirical framework. Section V reports the main results on policy composition and quality of policy design. Section VI presents robustness checks. Section VII concludes and outlines avenues for further research.

Data

The empirical analysis draws on the IMF Global Policy Tracker, which provides a near real-time record of announced policy responses to the 2026 Middle East energy shock. The database is constructed using a four-layer framework that combines AI-assisted retrieval with expert validation. Each entry is maintained as a structured record linked to its original source and dated, ensuring the data can be traced and audited as the crisis evolves. The dataset used in this paper should therefore be interpreted as a first snapshot of policy announcements during the early phase of the shock, rather than a final record of the full policy response. The data and the analysis will be updated systematically as new information becomes available.

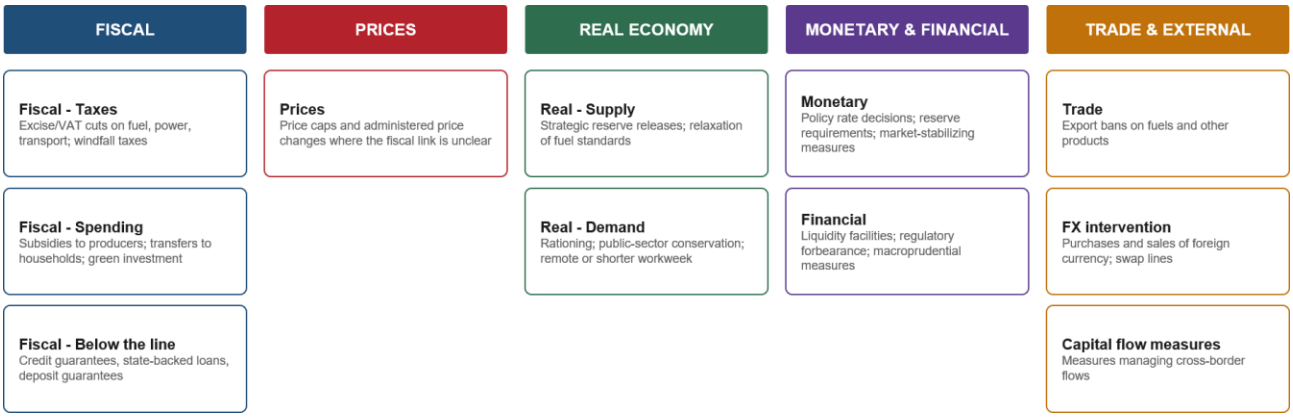
In the first layer, an AI-assisted retrieval system continuously scans official government portals, central bank websites, and major news aggregators across multiple languages, translating non-English announcements into English for standardized review. A critical challenge in this retrieval phase is distinguishing shock-driven interventions from routine policy actions. For monetary policy, the taxonomy strictly requires that the central bank's communication explicitly references the conflict, energy prices, or resulting inflation pressures. For fiscal and real-economy measures, where explicit shock attribution is sometimes omitted from formal decrees, interventions were included if their timing, context, and stated economic objectives were validated by IMF country teams as direct responses to the crisis. Once retrieved, IMF staff review and classify each measure, cross-check the information against existing institutional databases, and validate the records alongside country teams and functional departments. To avoid double counting, the pipeline applies both exact-match and semantic deduplication, which flags near-identical records describing the same measure in different wording or from different sources.

To organize the retrieved announcements, the Tracker applies a harmonized, two-tier policy taxonomy. This structure converts heterogeneous, narrative policy announcements into a consistent, analytically tractable

format, allowing for like-for-like comparisons across now 175 economies. The taxonomy categorizes measures into 12 broad Level 1 administrative families (Figure 1).

These encompass fiscal taxes, fiscal spending, fiscal below-the-line, monetary, financial, pricing, foreign exchange, capital flow, trade, real-economy supply, real-economy demand, and a residual category. Each Level 1 family is further subdivided into a total of 63 granular Level 2 categories that identify the specific instrument deployed, such as fuel excise cuts, household cash transfers, or policy rate adjustments. The complete two-level taxonomy mapping is provided in Annex Table A.1.

Figure 1. Global Policy Tracker Taxonomy



Source: IMF Global Policy Tracker; IMF staff calculations

The Tracker is designed as a measure-level, longitudinal database. Each announced measure enters the database in the month of announcement and remains active until an explicit termination, withdrawal, or substantive modification is recorded. This structure allows the Tracker to move beyond a static inventory of announcements and, as information accumulates, to trace the life cycle of each measure—from announcement to implementation, extension, modification, or withdrawal.

Beyond the instrument taxonomy, the framework codes each measure along three design-quality dimensions -- targeting, temporariness, and timeliness. A measure is coded as targeted if it specifies an explicit beneficiary group, and as temporary if it includes an explicit expiry date or sunset provision; both are recorded at the measure level. Timeliness (referred to throughout as the speed of adoption) is captured at the country level by the lag between the onset of the shock and the first announced measure.

While this architecture provides highly timely and globally comparable information, several limitations naturally apply. The Tracker records announced, rather than implemented, policies, meaning some announced measures may never be executed, while actions implemented without formal public communication may be missed entirely. Second, coverage is also constrained by the transparency of national communication practices and the machine-readability of local sources. Expert review and validation by IMF country teams help mitigate these limitations, but the database remains a real-time monitoring tool, rather than a finalized ex-post policy inventory (see Box 1). As additional information becomes available, subsequent updates of the Tracker will seek to record implementation status, extensions, withdrawals, and newly announced measures.

Box 1. How the Database Is Built: A Supervised Model Swarm with Desk Review

Every record in the database passes through three sequential stages: extraction by an AI model, independent review by a second AI model acting as supervisor, and verification by IMF country teams.

The *first* stage works through a systematic grid of every country and every month since the onset of the conflict. Rather than moving through that grid one cell at a time, the pipeline dispatches many parallel workers at once—a "swarm"—where each worker is a single instance of the extraction process, assigned sole responsibility for one country-month and running independently of the rest. Coverage is therefore uniform by construction rather than driven by the salience of particular countries in the news cycle. Within each worker, a search-enabled AI model (gpt-5.6-terra, accessed through the IMF's internal AI gateway) scans public sources across multiple languages. It identifies the economic policy measures adopted in response to the war and returns each one in a structured, translated form: what was done, when it was announced, its policy category, whom it targets, and the public source in which it was reported. Extraction alone is not treated as evidence. Each proposed measure must be accompanied by quotations from the cited source, and the source is then retrieved and read back independently to confirm those quotations actually appear. Further automated checks verify that the quoted passage refers to the country to which the measure has been attributed—rather than to a neighboring or similarly named state—and that it genuinely concerns the conflict.

The *second* stage includes surviving candidates, where a distinct AI model, gpt-5.6-sol, acts as supervisor. It re-examines each record against its source for relevance, accuracy of dates and amounts, and correctness of classification, and may correct a field or reject the entry outright. Because the supervisor is a different model from the worker that produced the record, it is never asked to validate its own reasoning—a separation that materially reduces the risk of an initial error being confirmed rather than caught.[3]

The *third* stage includes a two-step expert verification. The machine-generated output is first reviewed centrally by the analysts, who screen the records for consistency of classification across countries, check the treatment of borderline cases, and remove entries that survived the automated filters but do not meet the definitional scope of the exercise. Only then are the records handed to IMF country teams that review the entries for their jurisdictions, confirm or correct them against their own knowledge of national policy, and add measures the models failed to capture—an essential component, since automated search reaches only what has been publicly reported and indexed.

Stylized Facts

This section documents the scale, timing, and heterogeneity of the global policy response using the 1216 announced measures recorded across 175 economies. Three stylized facts emerge that motivate the subsequent empirical analysis: policy deployment was highly front-loaded, fiscal measures were used most frequently, and the composition of policy packages varied across countries.

Policy deployment was rapid but uneven. A total of 135 economies announced at least one measure during the first month of the crisis, and 38 did so within the first week. The pace of the response differed distinctly across regions (Figure 2). Europe responded faster than other regions, with more than 50 percent of all measures announced by end-March. Asia-Pacific reacted more slowly, at least initially, than other regions.[4] By end-May,

[3] The supervisor model rejected almost 30 percent of the candidate records returned by the extraction stage and corrected at least one field in a further 15 percent. A manual check of a random sample of about 150 records against their primary sources found 89 percent correctly attributed, dated, and classified (precision); for a random sample of 40 country-months, a manual search of national sources found that the Tracker captured 86 percent of relevant measures (recall).

[4] The size of oil reserves may have influenced both the speed and composition of policy responses. Although the Tracker records announced reserve releases as supply-side measures, comparable data on pre-shock reserve holdings are not available across the country sample. We therefore cannot assess the role of this potential buffer in the regressions.

about 80 percent of all measures had been announced in all regions. As oil prices started receding in early June, the pace of newly announced measures slowed markedly.

Figure 2A: Cumulative announced policy measures by region (total by Sept 15 = 100)

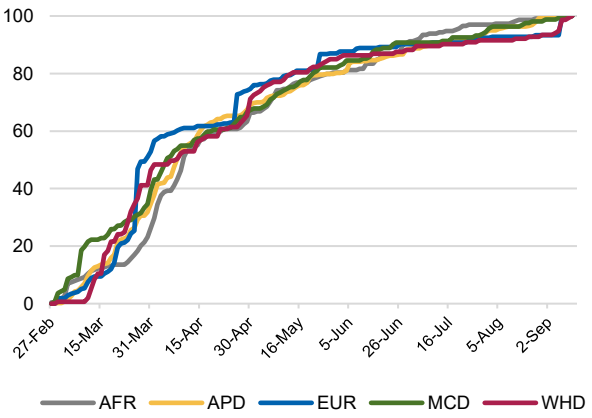
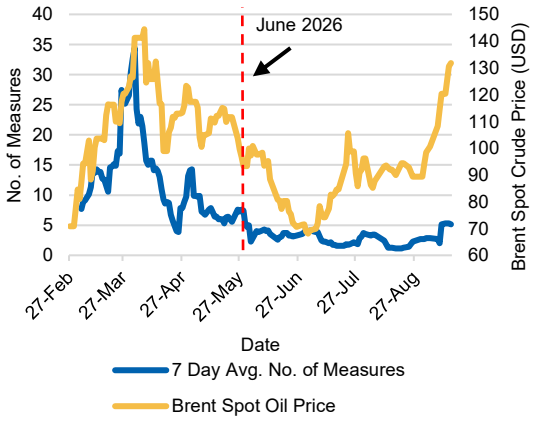


Figure 2B: Brent crude oil price vs. daily number of measures (7-day average)



Sources: IMF Global Policy Tracker; Bloomberg; and IMF staff calculations.

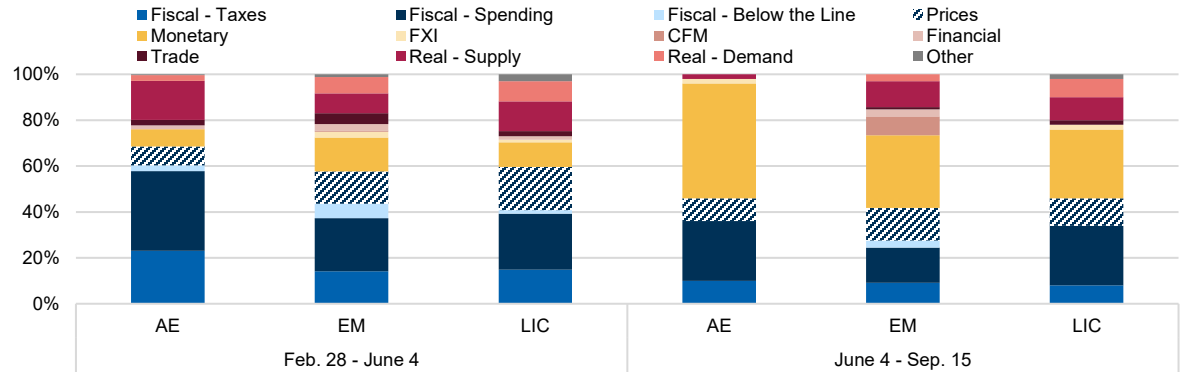
Fiscal policy measures (548 measures, or about 45 percent of total measures) were used most frequently (Figure 3). The composition of these fiscal responses differed notably across income groups. While fuel-tax and excise reductions were common across all groupings, advanced and emerging economies largely relied on household transfers, whereas low-income countries directed more support to energy producers.

Figure 3 also highlights changes in policy composition and design between the first three months of the shock (end-February to early June) and the subsequent period (early June to mid-September). About60 percent of initial measures were temporary, excluding explicitly one-off actions, or measures with sunset clauses. About 30 percent identified a specific beneficiary group, while only 15 percent were one-off actions. As the shock persisted, the share of temporary measures declined and stabilized at around 45 percent, while both targeting and one-off actions increased in the final two months. The policy mix also shifted from fiscal measures toward price and monetary instruments across income groups, with the monetary share converging to about 15 percent. This shift reflected a decline in the fiscal share in advanced and emerging market economies; the fiscal share changed little in low-income countries, while other categories moved only marginally.

Price and real-economy measures illustrated the diversity of policy adjustment strategies (Figure Annex B.1 and B.2). Price measures accounted for 171 actions across 91 economies, mostly in EMs. Of these, 70 permitted the pass-through of higher international energy costs, while 66 sought to contain domestic prices (the remaining 35 measures involved administrative monitoring, transparency initiatives, or actions with ambiguous directional effects). Pass-through measures were more common in LICs, especially sub-Saharan Africa, whereas price-containment measures were more prevalent in AEs and European countries. Real-economy measures accounted for 202 announcements across 96 economies and were divided between supply-side (65 percent) and demand-side (35 percent) interventions. EMs tended to rely on these real sector measures more than the others. Demand-management measures were concentrated primarily in EMs and LICs, while supply-side measures were more commonly used across income groups, with the highest reliance among EMs.

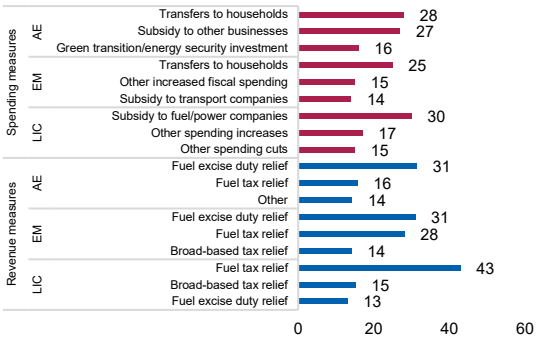
Figure 3: Composition of Policy Responses

Panel A. Composition of responses by Policy Area, by Period and Income Groups



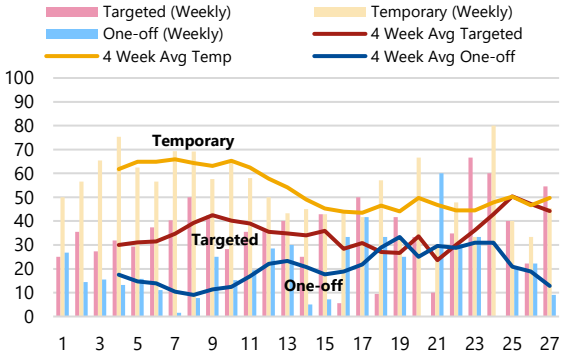
Panel B. Top 3 Fiscal Instruments by Income Groups

(Share of spending or revenue measures, percent, through Sep. 15)



Panel C. Targeted and Temporary Measures by Week

(Bars: percent of measures per week; Line: four-week average of the share)



Bars: weekly share of measures. Blue = temporary, red = targeted.
Lines: 4-week average.

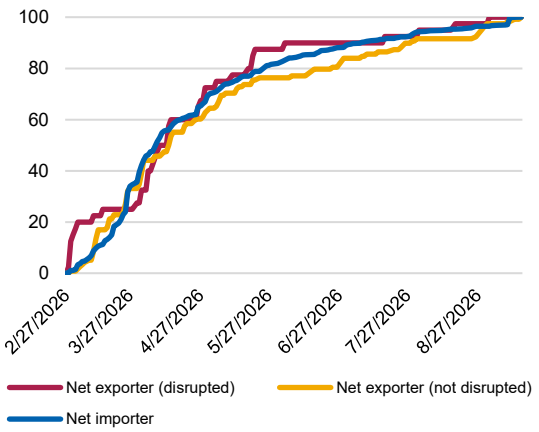
Sources: IMF Global Policy Tracker; IMF Article IV reports; and IMF staff calculations.
Note: Panel C reports four-week averages based on complete weekly data. Partial information available for weeks 28 and 29 is excluded from these averages.

By mid-September, 186 monetary policy decisions across 117 economies explicitly referenced the conflict, including 173 policy-rate decisions (Annex Figure B.1, Panel F). Most economies left rates unchanged, while 39 raised rates and 21 reduced them. The share of monetary policies did not vary substantially across income levels; however, sub-Saharan Africa and the Western Hemisphere had relatively high shares, partly due to monetary policies by currency unions.[5] Financial-sector measures were comparatively limited, with 29 measures across 16 economies, and were concentrated in economies directly affected by the war in the Middle East.

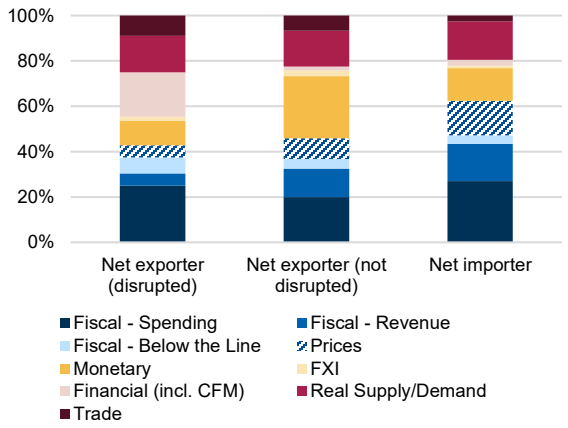
[5] In the September vintage of the Tracker, monetary policy (e.g. policy rate change) by a currency union central bank is counted for each member.

Figure 4: Policy Responses by Importer/Exporter Status

Panel A. Cumulative Announced Policy Measures by Oil Exporter and Disrupted Status (total by Sept 15 = 100)



Panel B. Composition of Announced Policy Measures by Oil Exporter and Disrupted Status



Sources: IMF Global Policy Tracker; and IMF staff calculations.

Finally, disrupted net exporters, defined as Middle Eastern economies whose trade was directly affected by the conflict, reacted earliest to the shock, but were later surpassed by net fuel-importers in the total number of policy measures adopted (Panel A of Figure 4). Compared with other country groups, they relied more heavily on financial sector measures (Panel B of Figure 4), possibly reflecting the strong exposure of domestic banking systems to the hydrocarbon sector. In contrast, they made less use of pricing and real demand or supply measures[6], likely because domestic fuel availability remained largely unaffected, despite disruptions to external trade.

Taken together, these stylized facts suggest that governments facing a common external shock made markedly different policy choices. Some relied predominantly on fiscal support for vulnerable households or firms, others resorted to pass-through or demand-restraint measures, and the degree of targeting and temporariness also varied considerably across countries. The remainder of the paper investigates the determinants of these differences, focusing on the role of fiscal space, inflation pressures, and institutional capacity.

Empirical Strategy and Policy Classification

The empirical analysis focuses on two dimensions of the policy response: its functional composition and the quality of its design. First, rather than relying on raw administrative taxonomies, the composition analysis evaluates the share of the policy package dedicated to specific instrument families. These families are defined by their intended economic functions. Second, the quality and timing analysis examines whether these measures were targeted and temporary, and how rapidly governments adopted these design features.

[6] The relatively high share of real sector measures by the disrupted exporters in Figure 4B was fully driven by only one country. None of the disrupted exporters announced demand measures whereas 6 out of 9 supply measures were by one country.

Consistent with the framework set out in the introduction, exposure captures the need to respond, while policy space captures the ability to do so. Because different instruments entail different trade-offs—such as balancing short-term economic relief against fiscal sustainability or market distortions—two countries facing similar shocks may choose entirely different policy mixes if they differ in fiscal space, inflation pressures, pre-existing policy frameworks, capacity or political constraints. The analysis tests whether the effect of exposure to energy shock varies with these pre-shock constraints, matching each policy instrument to the constraint most closely associated with its use.

A. Classification of Policy Responses and Economic Trade-offs

The dependent variables are constructed by grouping responses by their economic function. For instance, a single administrative taxonomy can contain actions with opposite economic effects: a measure recorded under "Fiscal – Taxes" may be a fuel-tax cut that cushions households, or a fuel-tax increase that passes the shock through to domestic prices. Grouping measures by raw taxonomy would pool these opposing actions. We therefore regroup instruments based on their intended economic function (Table 1). These classifications are based on information available at the announcement stage. As the Tracker is updated with more detailed information on policy implementation, beneficiaries, duration, and financing, future versions of the analysis may refine these economic groupings and distinguish policy-instrument families at a more granular level.

Table 1. Economic Classification and Policy Instrument Families

Functional Policy Family	Component Administrative Measures	Economic Rationale
Fiscal Shield	Tax relief + Producer subsidies + Household transfers	Aims to maintain short-term stability and protect incomes.
Price Pass-Through	Tax increases + Spending cuts + Administered price increases	Aims to preserve market signals and minimize fiscal costs.
Consumer price and income protection	Fiscal Shield + Administrative price caps	Captures all types of policies to hold domestic prices below market levels, with some public-private burden sharing.
Inflation Management	Policy rate increases + Explicit rate holds	Captures efforts to manage inflation expectations.
Financial Stabilization	FXI + CFM + MPP + Public Support to the Private Sector (BTL)	Aims to preserve financial and currency stability.
Demand Management	Rationing, conservation measures, and reduced worktime	Aims to curb energy demand.
Supply Management	Domestic supply measures + Trade measures (export bans)	Aims to ensure domestic energy supply in the short term.

Note: Measures announced between February 28 and June 4, 2026, with new data added through September 2026. The revised number of measures is 337 for fiscal shield, 129 for price pass-through, 399 for consumer price and income protection, 144 for inflation management, 87 for financial stabilization, 78 for demand management, and 172 for supply management. Families are defined by economic function. Consumer price and income protection is a composite family comprising all 337 fiscal shield measures plus 62 administrative price caps. Supply management includes trade measures. Details can be found in Annex A

First, the **fiscal shield** includes measures that support demand through the budget—tax relief, producer subsidies, and household transfers—irrespective of whether each measure is recorded under spending or revenue. This package aims to maintain macroeconomic stability and protect household' real income and the

domestic private sector, but it carries fiscal costs; measures that hold down domestic energy prices can also mutes the price signals necessary for economic adjustment.

Second, **price pass-through** encompasses tax increases, spending cuts, and administered price increases. We treat this as an active pricing choice that minimizes fiscal costs and preserves market signals, though it shifts the adjustment burden directly onto the private sector.

Third, **consumer price and income protection** combines the fiscal shield with administrative price controls, capturing the full set of interventions that could mitigate the impact of energy shock on the private sector.

Fourth, **inflation management** captures central bank decisions to increase rate and reserve requirements, and explicit decisions to hold policy rates to manage inflation expectations, and contain inflationary pressure from the oil price surge.[7]

Fifth, **financial stabilization** includes measures to counter currency or financial pressures. These include FXI, CFM[8], macroprudential measures, and public sector interventions into the financial or non-financial sector (e.g., provision of public guarantees, loans, or equities).

Sixth, **demand management** includes actions to curb energy demand through rationing of fuel or electricity, public energy conservation, reduced worktime or work from home. These are identical to Taxonomy Level 1.

Finally, **supply management** encompasses short-term measures to expand energy supply either through domestic-oriented actions, such as release of strategic fuel reserves and relaxed fuel standards, or externally oriented measures, through export bans or controls.

Remaining measures from the Tracker include monetary policy cuts, long-term supply measures directed at increasing energy security and alternative sources of energy, and other official communications.

B. Estimation Strategy for Policy Composition

As Table 1 makes explicit, our constructed families are nested. For example, consumer price and income protection mathematically subsumes the fiscal shield. Because the instrument families are neither mutually exclusive nor jointly exhaustive, we do not estimate substitution across instruments as a joint compositional system (e.g., a multinomial framework). Instead, we model each economic function's share independently.

To test which factors shape this policy mix, we examine the share of each instrument family within a country's monthly policy package. In practice, the dependent variable s_{ict} is constructed as:

$$s_{ict} = \frac{y_{ict}}{Y_{ct}}$$

[7] While price caps are sometimes used for short-term price management, they often stimulate demand and are fundamentally distinct from true monetary tightening

[8] Ten possible CFM cases, by two economies, were recorded between March and September 2026.

where y_{ict} is the number of measures targeting economic function i, and Y_{ct} is the total number of unique policy measures announced by country c in month t across the entire taxonomy.

Because Y_{ct} serves as a common denominator, an increase in the absolute number of measures in one category (e.g., a central bank rate hold) will mechanically suppress the calculated share of other categories (e.g., the fiscal shield), even if the absolute count of fiscal measures remains unchanged. We therefore model each economic function's share independently to capture how policy space shifts the relative weight of a given instrument within the overall package. The analysis is estimated on country-months with at least one recorded measure ($Y_{ct} \geq 1$), since an instrument share is undefined when no policy announcements occur.

Let s_{ict} denote the share of measure directed toward economic function i out of the total policy actions announced by country c in month t,

$$s_{ict} = \exp\left(\alpha + \beta_1 CE_{ct} + \beta_2 PS_c + \beta_3 (CE_{ct} \times PS_c) + \gamma' X_c + \delta_t\right) \times \eta_{ict} \quad (1)$$

The primary regressor of interest is the interaction between exposure and policy space. The exposure index, $CE_{ct} = \mathrm{m}_c \times \Delta P_t^{Brent}$, captures the terms-of-trade component of the shock[9]. It is defined as country c's pre-crisis net energy-import share (m_c) multiplied by the percentage change in Brent spot prices relative to the pre-crisis baseline (ΔP_t^{Brent}). The index is country- and time-specific, capturing the reality that exposure is larger for economies that import a greater share of their energy needs, and rises as oil prices increase.

The analysis distinguishes between exposure and policy space. Exposure captures the pressure to respond to the shock, while policy space influences the choice of policy instruments. Governments facing large increases in energy import costs generally seek to cushion households and firms from the adverse effects of higher energy prices. However, the scope for doing so depends on available policy space. Higher public debt and tighter financing conditions increase the fiscal cost of transfers, subsidies, and tax relief, making fiscal support more difficult to sustain. As a result, adjustment is more likely to occur through greater price pass-through or demand restraint.

Policy space (PS_c) refers to the room available to policymakers to respond to shocks while maintaining debt sustainability, market access, price stability, and external stability. In the empirical analysis, policy space is matched to the constraints most relevant for each policy instrument. Fiscal, price, and real-economy measures are matched to public debt and sovereign spreads; monetary measures to inflation; and financial-stabilization measures to reserve adequacy, inflation, and public debt.

Policy choices also reflect broader structural characteristics. To ensure the exposure coefficient isolates the marginal effect of the shock rather than persistent structural differences between importers and exporters, the vector of structural controls (X_c) accounts for baseline net-import dependence alongside differences in institutional quality (WGI), income levels, exchange-rate arrangements, and monetary frameworks. Pre-existing subsidy status enters as an additive structural control rather than as a policy-space interaction: because the

[9] By construction, the exposure index takes positive values for net energy importers, for whom the price increase raises import costs; negative values for non-disrupted net exporters, who benefit from higher prices; and is undefined for the exporters directly disrupted by the conflict which are therefore excluded from the estimation sample, as a price-taking import-share loading does not capture their supply- and revenue-side shock.

tracker records newly announced measures, it describes the pre-shock framework rather than the support already embedded in domestic prices. Month fixed effects (δ_t) absorb the common evolution of the shock over time.

All continuous exposure and policy-space variables are mean-centered before estimation. Because the specification includes interaction terms, the coefficient on exposure is otherwise evaluated at a value of zero for the policy-space variable, which is not economically meaningful for measures such as public debt. Mean-centering shifts the reference point to the sample average without affecting model fit or coefficient estimates. As a result, the coefficient on exposure is interpreted at average policy space, while the interaction term captures how the effect of exposure changes as policy space deviates from its sample mean.
The error η_{ict}enters multiplicatively; the model is estimated by Poisson pseudo-maximum likelihood (PPML), which models the conditional mean as an exponential function rather than log-transforming the dependent variable, and therefore accommodates zero shares directly (Silva and Tenreyro, 2006).

C. Quality of Policy Design and Speed of Adoption

The second stage of the analysis examines whether the factors that shape policy composition also explain the quality of policy design. The standard policy recommendation is that during a temporary supply shock, optimal policy interventions should be temporary and targeted.[10] Targeted support directs scarce public resources strictly to the populations most vulnerable to the shock; this contains the overall fiscal cost and prevents broad subsidies from dulling the price signals necessary to encourage energy conservation. Temporary support ensures that emergency relief does not transform into permanent structural distortions or ongoing drains on public finances.

Because the Tracker records policy announcements rather than actual implementation or beneficiary-level outcomes, policy design is assessed using observable characteristics of the announced measures. We therefore identify targeted and temporary policies based on the information available at the time of announcement, rather than on their ex-post realization.

We define our three measure-level outcomes as follows:

$$Targeted_{ict} = 1 \text{ if measure } i \text{ specifies an explicit beneficiary group , } 0 \text{ otherwise}$$

$$Temporary_{ict} = 1 \text{ if measure } i \text{ specifies an explicit expiry date or sunset provision, } 0 \text{ otherwise}$$

$$Design_{ict} = Targeted_{ict} + Temporary_{ict} \in \{0,1,2\}$$

The $Targeted_{ict}$ indicator captures if the announcement explicitly identifies a specific beneficiary group (such as households, firms, or specific sectors), through it does not necessarily guarantee that assistance is strictly means-tested or perfectly restricted to vulnerable populations. The $Temporary_{ict}$ indicator captures if explicit expiry date or sunset provision was included in the announcement, rather than actual persistence in practice. Finally, a $Design_{ict}$ score of 2 indicates that a measure is both targeted and temporary.

[10] See Clements et al. (2013) and Amaglobeli et al. (2023)

A score of zero does not automatically imply poor policy design. For certain policy responses—such as central bank rate hikes or the removal of subsidies—being broad and permanent is the optimal design. To account for these inherent baseline differences across instrument families, we include policy-instrument fixed effects but also, we restrict regressions only to the policy categories where targeted and temporary genuinely represent good design (e.g., the Fiscal Shield, Financial Sector liquidity facilities, Demand Management). To identify measures targeted at vulnerable households, we used AI-assisted text classification based on the beneficiary descriptions recorded in the Tracker. Measures were classified as targeting vulnerable groups if they explicitly referred to poor or low-income households or to vulnerable populations such as pensioners, unemployed individuals, people with disabilities, refugees, or recipients of social assistance.

For each policy announcement i made by country c in month t, we estimate:

$$Q_{ict} = \alpha + \beta_1 \mathrm{CE}_{ct} + \beta_2 PS_c + \beta_3 (\mathrm{CE}_{ct} \times PS_c) + \gamma' X_c + \delta_t + \theta_j + \varepsilon_{ict} \qquad (2)$$

Q_{ict}denotes one of the three measure-level outcomes defined above. CE_{ct} denotes country exposure to the energy shock, measured as the interaction between the country's net energy-import dependence and the monthly energy-price shock, as in Equation (1). $\mathrm{PS_c}$denotes the relevant policy-space variable, δ_t denotes month fixed effects, and $\theta_j$denotes the policy-instrument fixed effects. The vector of controls, X_c, includes election-year indicators and institutional capacity. The election dummy takes a value of 1 for countries with elections planned in 2026 after the onset of the shock, and zero otherwise. Because governance, income group, and state fragility capture closely related dimensions of administrative capability, they are introduced separately in alternative specifications to avoid multicollinearity. Standard errors are clustered at the country level.

As a complementary exercise, we examine the speed with which governments adopted these design features. For each country, we calculate the number of days elapsed between the start of the shock and the first announcement of a targeted measure, and similarly for a temporary measure. These durations are transformed into a country-level speed index:

$$Speed_c^k = \begin{cases} 1 + 99\left(\dfrac{d_{\max} - d_c^k}{d_{\max} - d_{\min}}\right), & \text{if country } c \text{ adopted feature } k \\ 0, & \text{otherwise} \end{cases} \qquad (3)$$

Superscript k represents either the targeted or temporary feature of the announced instrument, d_c^k is the number of days elapsed prior to the first adoption of feature k, and $d_{\min}$and $d_{\max}$ denote the earliest and latest adoption dates observed among all adopters in the sample. By assigning a zero to non-adopters, this index serves as a composite metric of both adoption incidence and adoption timing.

Subsequently, for each country c, we estimate the following regression to determine which factors affected whether and how quickly government adopted the targeted and temporary design features:

$$Speed_c^k = \alpha + \beta_1 CE_c + \beta_2 PS_c + \beta_3 (CE_c \times PS_c) + \gamma' X_c + \varepsilon_c \qquad (4)$$

The explanatory variables in Equation (4) are identical to those defined in Equation (2), and we apply heteroskedasticity-robust standard errors. While the first-stage policy-composition analysis in Equation (1) employs PPML to capture proportional changes in fractional policy shares, the policy-design and speed outcomes require a different approach. Because these outcomes are either binary indicators (0 or 1) or bound continuous timing indices (0 to 100), we estimate Equations (2) and (4) using OLS. This allows us to interpret the coefficients directly as absolute percentage-point changes in the probability of adoption, or as absolute point shifts on the 100-point speed scale.

Results

We first present baseline results on the composition of policy responses during the initial three months of the shock, from late February to early June 2026 (Section A). Section B extends the composition analysis through mid-September. Section C examines targeting, temporariness, and timeliness, first over the initial three-month window and then using the extended Tracker through mid-September.

A: Determinants of the Composition of Initial Policy Responses

Fiscal Shield, Price Pass-Through, and Real Demand and Supply Measures

Faced with an energy shock, governments had to balance the objective of cushioning domestic consumers against the macroeconomic trade-offs of high fiscal costs and muted price signals. Table 2 reports how the functional composition of the policy response relates to energy exposure, public debt, and their interaction.

Larger energy exposure on its own is associated with a significantly larger share of announced price pass-through measures. At average debt levels, moving from the 25th to the 75th percentile of energy exposure is associated with an approximately 40 percent increase in the share of price pass-through responses. By contrast, the main effect of exposure on the fiscal shield at average debt is close to zero and insignificant.

Instead, the decision to absorb the shock through the budget was heavily constrained by exposure to the shock and fiscal space. The exposure–debt interaction traces a coherent shift in policy emphasis. The interaction is negative for the fiscal shield (−0.001**) and for consumer price and income protection (−0.001**), but positive for price pass-through (0.002**). Because the fiscal shield entails high, often open-ended fiscal commitment, heavily indebted governments face severe trade-offs in deploying it. Consequently, as public debt rises, the association between exposure and fiscal cushioning attenuates, while the association with domestic price pass-through strengthens (Figures 5 and 6).

Table 2: Determinants of Fiscal, Prices, and Real Measures

	(1)	(2)	(3)	(4)	(5)	(6)
VARIABLES	**Fiscal Shield**	**Price Pass-Through**	**Consumer Price and Income Protection**	**Real Demand**	**Real Supply (+Trade)**	**Real Supply**
Energy exposure (CE)	0.001	0.0106***	0.000	-0.001	-0.000	0.001
	(0.001)	(0.0031)	(0.001)	(0.004)	(0.002)	(0.002)
Public debt	0.011	-0.0488	0.009	-0.062	0.051**	0.033
	(0.027)	(0.0763)	(0.025)	(0.064)	(0.024)	(0.032)
CE × Public debt	**-0.001****	**0.0024****	**-0.001****	**0.001**	**-0.001***	**-0.001*****
	(0.000)	**(0.0011)**	**(0.000)**	**(0.001)**	**(0.000)**	**(0.001)**
Income Group (EM vs AE)	-0.250	1.1481	-0.152	-2.393**	-0.130	-0.122
	(0.342)	(0.9371)	(0.290)	(1.143)	(0.307)	(0.364)
Income Group (LIC vs. AE)	-0.744*	1.1617	-0.715*	-0.917	-0.120	0.015
	(0.405)	(0.9779)	(0.372)	(1.095)	(0.374)	(0.518)
Subsidy Medium (vs High)	1.129***	0.9699*	0.936***	-2.272***	-1.040***	-0.770*
	(0.344)	(0.5555)	(0.291)	(0.826)	(0.363)	(0.441)
Subsidy Low (vs High)	0.813**	1.0533**	0.613*	-1.346**	-0.524	-0.585
	(0.363)	(0.5107)	(0.314)	(0.528)	(0.369)	(0.448)
Observations	223	223	223	223	223	223
Pseudo-R^2	0.052	0.100	0.042	0.223	0.087	0.076
Month Fixed Effects	Yes	Yes	Yes	Yes	Yes	Yes
Other Controls	Yes	Yes	Yes	Yes	Yes	Yes

Note: PPML estimates; coefficients are semi-elasticities. Public debt is gross general-government debt, centered and scaled per 10 percentage points of GDP. Energy subsidy level is constructed from 2025 explicit energy subsidy data (measured as a percentage of GDP) and categorized into terciles: low (bottom third), medium (middle third), and high (top third). Explicit energy subsidies are defined as subsidies arising when the cost of energy supply exceeds the retail price paid by consumers. Standard errors clustered by country in parentheses. To isolate the variables of interest, structural controls (including governance, income group, inflation quintiles, and exchange-rate/monetary regimes) are included in all specifications but not displayed. See Section IV for variable definitions. Energy exporters that have been directly affected by the war in the Middle East are excluded. Full specifications are reported in Annex Table C.2. *** p<0.01, ** p<0.05, * p<0.1.

Source: IMF Global Policy Tracker; Authors' calculations.

The conditional (on debt level) association between exposure and the fiscal-shield share weakens for higher debt levels. Its point estimate turns negative above about 75 percent of GDP, but becomes statistically significantly negative only above roughly 130 percent—well above the sample's 75th percentile. For pass-through, the conditional exposure association strengthens with debt, and is significantly positive above roughly 40 percent of GDP. The magnitudes are economically meaningful: moving from the 25th to the 75th percentile of exposure is associated with an expected pass-through share about 20 percent higher at debt of 40 percent of GDP, and about 60 percent higher at debt of 74 percent of GDP (Annex Table C.1). Overall, debt conditions the relationship between exposure and the announced policy mix: the fiscal-shield exposure gradient weakens as debt rises, while the pass-through gradient strengthens.

Figure 5: Marginal effect of energy exposure on the fiscal shield, by public debt

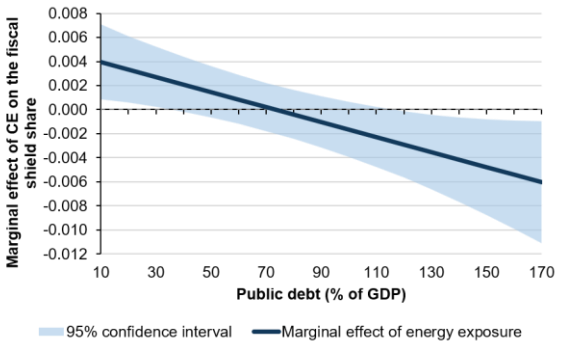
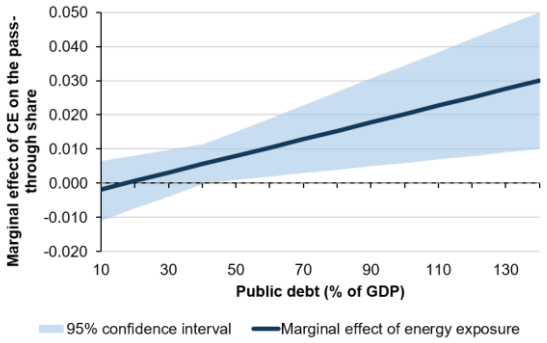


Figure 6: Marginal effect of energy exposure on the pass-through share, by public debt



Source: IMF Global Policy Tracker; Authors' calculations.
Note: The solid lines plot the conditional marginal effect of energy exposure on the fiscal shield share (Figure 5) and price pass-through share (Figure 6) across the observed range of public debt-to-GDP. Shaded areas represent 90 and 95 percent confidence intervals, respectively. Estimates are derived from the baseline PPML specifications in Table 2, Columns 1 and 2.

These patterns are consistent with a broad body of evidence demonstrating that fiscal space fundamentally shapes crisis responses (Romer and Romer, 2019; Alberola and others, 2020; Bergant and Forbes, 2023). Furthermore, they extend recent findings from the 2022 energy crisis, which showed that price-dampening measures were heavily constrained where fiscal space was limited (Ari and others, 2022).

To complement the baseline results, we modify exposure to the shocks using forward-looking measures of both shock severity and financing stress (Table 3). First, when exposure is measured using Brent futures prices rather than spot prices, the negative interaction for the fiscal shield and the positive interaction for pass-through remain highly significant. Furthermore, the size of the coefficients increases, indicating that the policy shift driven by expectations of a persistent shock signaled by futures prices—rather than transitory spot-market volatility—can actually be more pronounced.

Second, the same pattern emerges when public debt is replaced by sovereign spreads. We use two measures of spread change: the average change over the shock period, and monthly changes. Irrespective of the measures, wider spreads are associated with greater reliance on price pass-through in shock-exposed countries. A one-standard-deviation increase in spreads raises the share of pass-through measures by about 15 percent. The result suggests that tighter financing conditions constrained the use of costly fiscal support and shifted adjustment toward domestic prices. While spreads move contemporaneously, this corroborates the interpretation that tightening market financing conditions constrained the use of costly fiscal tools, forcing a reliance on domestic price adjustment.

Finally, the response varied heavily with the pre-shock pricing framework, as captured by the IMF FAD database of pre-existing explicit energy subsidies. While extensive energy subsidies are generally recognized as a structural vulnerability that distorts price signals and drains public finances (Clements and others, 2013; Coady and others, 2019), they also act to some extent as a pre-existing, automatic cushion during an energy price shock. Compared to economies entering the crisis with high explicit energy subsidies, countries with low or medium pre-existing subsidies announced significantly more consumer price and income protection measures, while relying less on demand-management policies. The differences are economically significant: medium-subsidy economies announced more than twice as much fiscal shielding as high-subsidy economies.

Table 3: Sensitivity to Alternative Measures of Exposure and Financing Stress

Measure of Fiscal Space	Energy Exposure	CE × Fiscal Space: Fiscal Shield	CE × Fiscal Space: Price Pass-Through	Obs.
Public debt (baseline)	Spot Brent	-0.0010**	0.0024**	223
Public debt	Brent futures	-0.0011**	0.0033**	223
Sovereign spread (average)	Spot Brent	-0.0004	0.0005**	115–118
Sovereign spread (monthly)	Spot Brent	-0.0002	0.0004*	106–109

Note: The table reports the interaction coefficient between energy exposure (CE) and the respective measure of fiscal space. Estimates are derived from independent PPML regressions for each policy share, controlling for structural characteristics and month fixed effects. Sovereign spread change is calculated as country-average percent deviation from own pre-crisis spread baseline (average). Sovereign spread change is calculated as the monthly percent deviation of sovereign spreads from each country's own pre-crisis baseline (monthly). Observation counts vary slightly across outcomes due to PPML separation when estimating zero-share country-months. *** p<0.01, ** p<0.05, * p<0.1. See Annex Tables C.3, C.4, and C.5 for full specifications.
Sources: IMF Global Policy Tracker; Authors' estimates

This dynamic reflects two sides of the same structural coin. On the one hand, high-subsidy economies already operated substantial (albeit distortive) price-cushioning mechanisms on autopilot, reducing the immediate need to announce new measures. On the other hand, countries that entered the crisis with lower subsidy burdens enjoyed a greater margin of maneuver—having greater fiscal space and flexibility to proactively build temporary protection for the private sector from a lower base. Subsidy status is therefore best interpreted as a structural level shifter of the response—describing the pricing framework already in place, and thus the fiscal space a country had to add new measures—rather than as a separate behavioral channel.

Fiscal Shield Composition: Household Transfers vs. Producer Subsidies

To identify how fiscal constraints altered the structure of the fiscal shield, we separate budget-financed cushioning into its two main components: producer subsidies and household transfers (Table 4). Standard economic frameworks strongly recommend targeting scarce resources toward vulnerable households, rather than implementing broad producer subsidies, which heavily distort markets and disproportionately benefit high-income consumers (Clements and others, 2013; Coady and others, 2017).

The empirical estimates reveal a stark contrast. The share of producer subsidies is unrelated to exposure, public debt, or their interaction. The debt-sensitivity of the fiscal shield is driven almost entirely by household transfers. The exposure–debt interaction for transfers is negative and significant (−0.002*), meaning that as public debt rises, the association between exposure and the household-transfer share weakens.

Figure 7 shows the mechanism directly: the marginal effect of exposure on the share of household-transfers is significantly positive for countries with debt levels up to roughly 70 percent of GDP and fades to zero as debt rises. Where fiscal space was ample, more-exposed governments shifted relative emphasis toward household support; where financing was constrained, they did not.

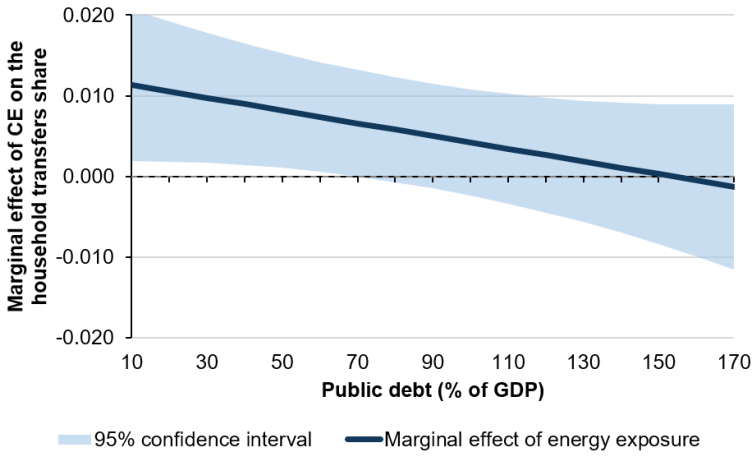
Table 4: Decomposition of the Fiscal Shield into Transfers and Subsidies

VARIABLES	(1) Producer subsidies	(2) Household transfers
Energy exposure (CE)	0.007	0.009*
	(0.004)	(0.005)
Public debt	0.020	0.057
	(0.057)	(0.062)
CE × Public debt	**-0.001**	**-0.002***
	(0.001)	(0.001)
Income Group (EM vs AE)	-0.547	-1.960**
	(0.607)	(0.859)
Income Group (LIC vs. AE)	-0.121	-3.118***
	(0.706)	(1.067)
Subsidy Medium (vs High)	0.523	-0.046
	(0.702)	(0.862)
Subsidy Low (vs High)	1.046	-0.514
	(0.790)	(0.974)
Observations	223	223
Month Fixed Effects	Yes	Yes
Other Controls	Yes	Yes
Pseudo R-squared	0.096	0.132

Note: PPML estimates; coefficients are semi-elasticities. Public debt is gross general-government debt, centered and scaled per 10 percentage points of GDP. Energy subsidy level is constructed from 2025 explicit energy subsidy data (measured as a percentage of GDP) and categorized into terciles: low (bottom third), medium (middle third), and high (top third). Explicit energy subsidies are defined as subsidies arising when the cost of energy supply exceeds the retail price paid by consumers. Standard errors clustered by country in parentheses. To isolate the variables of interest, structural controls (including governance, income group, inflation quintiles, and exchange-rate/monetary regimes) are included in all specifications but not displayed. Fiscal shield measures comprise 123 tax-relief measures, 101 producer-subsidy measures, and 56 household-transfer measures (280 measures in total). See Section IV for variable definitions. Full specifications are reported in Annex Table C.6. *** p<0.01, ** p<0.05, * p<0.1.
Sources: IMF Global Policy Tracker; Authors' estimates

The results also highlight the structural trade-offs of policy delivery. The composition of the broader policy package differed across the income groups (Table 2). For instance, LICs deployed significantly less fiscal shielding (−0.744*) and consumer price and income protection (−0.715*) overall, implying roughly 50 percent less fiscal and price-based cushioning than AEs. EMs relied significantly more on general price measures, and significantly less on demand-management measures than AEs. The composition of the fiscal shield further highlights the structural trade-offs. Relative to AEs, both EMs and LICs dedicated significantly smaller expected shares of their packages to household transfers. No comparable income-group gradient appears for producer subsidies. While not a formal causal identification, this pattern is highly consistent with differences in administrative delivery capacity. Expanding household transfers requires pre-existing social safety nets and the digital or administrative infrastructure to identify beneficiaries. Where those systems are less developed, scaling up direct household support is operationally difficult, suggesting that the structural ability to deliver assistance shapes how governments navigate the trade-offs of crisis response.

Figure 7: Marginal effect of energy exposure on the HH transfers, by public debt



Note: The line plots the marginal effect of energy exposure (CE) on the HH transfers share, dy/dx, evaluated across the observed range of gross public debt-to-GDP; the shaded area is the 90 percent confidence interval. Estimates are from the PPML specification in Table 2
Sources: IMF Global Policy Tracker; Authors' estimates

Inflation Management: Monetary Measures

In addition to administrative price cuts or freezes, authorities announced a combination of orthodox central bank actions—such as policy rate hikes or holds—to offset the impact of the energy shock on general prices (Table 5). However, the drivers of these tools differed fundamentally.

In contrast to the fiscal measures, greater energy exposure is associated with a lower share of monetary measures (−0.003*** to −0.005**), suggesting that adjustment occurred primarily through fiscal support and direct price measures. This may reflect a policy choice to avoid amplifying the contractionary effects of the shock through higher borrowing costs. Alternatively, more exposed economies may have experienced larger demand contractions, which muted inflationary pressures and reduced the need for monetary tightening. The data do not allow us to distinguish between these explanations. Consistent with either interpretation, monetary responses appear to have been driven more by pre-shock inflation conditions than by exposure itself.

Countries entering the shock with inflation above their own ten-year historical norm announced a significantly larger share of the narrower tightening-and-hold measures (0.088*). Because this estimate is a semi-elasticity, a one-percentage-point increase in a country's historical inflation deviation is associated with an approximately 9 percent increase in the expected share of monetary tightening measures.

The role of post-shock inflation expectations—measured by the revision to WEO headline-inflation forecasts between January and April 2026—is more difficult to isolate due to the reverse causality inherent in this contemporaneous estimate. While rising expectations pressure central banks to tighten, the announcement of those tightening measures simultaneously reduces inflation expectations, likely contributing to the statistically insignificant estimates observed.

Table 5: Determinants of Monetary Policy Measures to the Energy Shock

VARIABLES	(1) Inflation Deviation		(2) Revisions in Inflations Expectations	
Energy exposure (CE)	-0.003**	-0.005***	-0.004***	-0.004***
	(0.001)	(0.002)	(0.001)	(0.001)
Inflation	**0.088***	**0.147***	**-0.059**	**0.024**
	(0.053)	**(0.079)**	**(0.093)**	**(0.108)**
CE × Inflation	-0.000	0.001	0.000	0.001
	(0.001)	(0.001)	(0.001)	(0.003)
Income Group (EM vs AE)	0.973*	1.343**	0.757	1.089*
	(0.561)	(0.603)	(0.524)	(0.624)
Income Group (LIC vs. AE)	1.090	1.858**	0.760	1.453*
	(0.783)	(0.749)	(0.769)	(0.487)
Observations	228	175	227	174
Pseudo R-squared	0.070	0.093	0.071	0.088
Month fixed effects	Yes	Yes	Yes	Yes
Other Controls	Yes	Yes	Yes	Yes

Note: PPML estimates; coefficients are semi-elasticities. Standard errors clustered by country in parentheses. Columns (2) and (4) restrict the sample to economies with an independent monetary policy. To isolate the variables of interest, structural controls and month fixed effects are included in all specifications but not displayed. See Section IV for variable definitions. Full specifications are reported in Annex Table C.7. Standard errors clustered by country are in parentheses. *** p<0.01, ** p<0.05, * p<0.1. Sources: IMF Global Policy Tracker; and Authors' estimates.

Relative to AEs, both EMs and LICs announced a larger share of monetary measures, the mirror image of the fiscal shield. This partly reflects composition effects, as countries providing less fiscal support devoted a larger share of their response package to monetary actions. The result is also consistent with greater concern about imported inflation in economies with higher exchange-rate pass-through and less firmly anchored inflation expectations. Since the specification controls for inflation, the difference cannot be attributed solely to higher inflation rates; it suggests greater reliance on monetary policy relative to AEs.

Finally, among policy frameworks, countries operating a monetary-aggregate target (−1.480**) or an exchange-rate anchor (−1.050*) announced fewer monetary measures than countries with inflation targeting, consistent with the more limited monetary autonomy of both frameworks.

Financial stabilization measures

Announced financial-stabilization measures (83 in total) consisted mainly of macroprudential measures (31 percent) and foreign-exchange interventions (23 percent), with the remainder comprising guarantees, loans, and capital support directed to the financial sector. Such support measures were concentrated in energy exporters directly affected by the conflict and excluded from the estimation sample. As a result, the measures entering the regressions are predominantly FXI and macroprudential actions, making the strong role of reserve adequacy unsurprising. Given the limited number of observations, results for this category should be interpreted with caution. Our estimates suggest that announced financial stabilization measures were largely unrelated to public debt and inflation (Table 6).

Table 6: Determinants of Financial Stabilization Measures to the Energy Shock

VARIABLES	Share of Measures	+ BTL	Share of Measures	+ BTL	Share of Measures	+ BTL
	Public Debt		Inflation		Reserves	
Energy exposure (CE)	-0.005	-0.002	-0.004	0.000	-0.004	0.001
	(0.004)	(0.003)	(0.004)	(0.003)	(0.003)	(0.003)
Public debt	0.120	0.036				
	(0.088)	(0.061)				
CE × Public debt	0.000	-0.001				
	(0.002)	(0.001)				
Inflation			0.005	0.022		
			(0.045)	(0.036)		
CE × Inflation			0.000	0.000		
			(0.001)	(0.001)		
Reserves					**1.011*** **	**0.810*** **
					(0.354)	(0.226)
CE × Reserves					0.009**	0.006*
					(0.004)	(0.004)
Observations	223	223	228	228	228	228
Pseudo R-squared	0.159	0.071	0.164	0.085	0.193	0.105
Month fixed effects	Yes	Yes	Yes	Yes	Yes	Yes
Other Controls	Yes	Yes	Yes	Yes	Yes	Yes

Note: PPML estimates; coefficients are semi-elasticities. Standard errors clustered by country in parentheses. To isolate the variables of interest, structural controls and month fixed effects are included in all specifications but not displayed. Full results can be found under Annex C.8. Standard errors clustered by country are in parentheses. *** p<0.01, ** p<0.05, * p<0.1.

Sources: IMF Global Policy Tracker; and Authors' estimates.

By contrast, reserve adequacy appears to be an important determinant. Countries with stronger reserve buffers allocated a larger share of their policy packages to financial stabilization measures. The positive interaction between energy-shock exposure and reserve adequacy suggests that this tendency strengthened as the shock intensified. This pattern is consistent with the interpretation that countries with sufficiently large foreign exchange buffers—as measured by the IMF's Assessing Reserve Adequacy (ARA) metric—had greater scope to use exchange-rate-related interventions and other financial stabilization instruments to cushion the impact of higher energy prices.

However, the interaction weakens once below-the-line measures are added to the financial stabilization category[11], suggesting that the reserve channel is more relevant for traditional financial stabilization instruments than for these broader interventions. Fiscal space may also influence the decision to announce below-the-line measures, given their direct or contingent fiscal costs, including guarantees. Once these measures are included, the coefficient on fiscal space remains statistically insignificant but turns negative, pointing to another potential policy determinant that warrants further investigation. Overall, the pattern is

[11] The interaction term becomes insignificant once inflation, debt and reserves are entered together. Only the variable reserves hold.

consistent with the nature of the instruments included in this category, whose deployment depends on the availability of reserve buffers and, potentially, fiscal space.

Demand and supply management

Finally, governments used real-economy measures to cushion the domestic impact of the energy shock. The interaction between public debt and shock exposure is positive but not statistically significant for demand-side measures (Table 2). However, it becomes significant when fiscal space is proxied by sovereign spreads (Annex Table C.4-C.5). This suggests that financing conditions, rather than debt ratios alone, constrained the use of measures aimed at supporting domestic demand, consistent with the literature emphasizing market access and borrowing costs as key determinants of fiscal space (IMF 2022; Romer and Romer 2019). The short sample period limits the ability to capture feedback effects from these measures to economic activity and subsequent policy choices.

For real-supply measures, including trade-related (export) announcements, the interaction between debt and exposure is negative (Table 2), indicating the association between exposure and the supply-side support weakens as debt rises. Excluding export restrictions leaves the coefficient broadly unchanged but increases its significance from the 10 to the 1 percent level. This suggests that fiscally costly supply-support measures were more constrained by debt, while export restrictions as a way of supply management may have been considered as less fiscally costly, despite their adverse cross-border spillovers through higher global prices and reduced supply availability (Giordani, Rocha, and Ruta 2016; IMF 2022; World Bank 2022). Demand-management measures are not significantly related to the exposure–debt interaction in the baseline in the first three months of the shock.

B: Determinants of the Composition of Policy Responses Over Time

As noted in the Introduction, the Global Policy Tracker allows us to update the analysis as new announcements become available and to track responses as the shock evolves. We re-estimate the composition models using successive Tracker releases, extending the observation window through mid-September. As energy prices moderated in June before rising again in September, changes across estimates may reflect changing energy prices, as well as new announcements, data revisions, and changes in country coverage.

The functional composition of announced policy packages shifted gradually as the Tracker's observation window expanded (Annex Figure B.3, left panel). Fiscal-shield measures—tax relief, subsidies, and household transfers—accounted for a declining share of announcements, while the pass-through, demand-management, and inflation management shares increased. Changes in the other functional categories were marginal. This pattern indicates a gradual shift of announced policy response packages toward domestic adjustment and demand restraint, which is consistent with shock being viewed as more protracted. e

The real demand and real supply measures results become more apparent in later cumulative estimates. The exposure–debt interaction is positive for demand-management shares and negative for supply-and-trade shares. It is consistent with the fact that conservation and rationing can help reduce energy use without the immediate budgetary cost, unlike broad income or price support, although they may impose costs on economic activity. Supply interventions may instead depend on available reserves, production capacity, or time to implement. These considerations offer possible explanations for the regression estimates.

Table 7: Determinants of Fiscal Shield, Price Passthrough, and Real Sector Measures over Time

VARIABLES	Tracker v1 (Mar – early Jun)	Tracker v2 (Mar Jun)	Tracker v2 (Mar –Jul)	Tracker v2 (Mar –Aug)	Tracker v2 (Mar–early Sep)
Panel A. Fiscal Shield					
Energy exposure	0.001	0.002^	0.001	0.001	0.001
	(0.001)	(0.001)	(0.001)	(0.001)	(0.001)
Public debt	0.011	0.024^	0.017	0.014	0.012
	(0.027)	(0.021)	(0.020)	(0.020)	(0.021)
CE × Public debt	**-0.001****	**-0.001*****	**-0.001****	**-0.001****	**-0.000***
	(0.000)	**(0.000)**	**(0.000)**	**(0.000)**	**(0.000)**
Observations	223	341	381	399	434
Countries	Not reported	148	149	149	152
Panel B. Price Pass-Through					
Energy exposure	0.0106***	0.0095***	0.0088***	0.0103***	0.0093***
	(0.0031)	(0.0029)	(0.0024)	(0.0032)	(0.0024)
Public debt	-0.0488	-0.0596^	-0.0304	-0.0482	-0.0166
	(0.0763)	(0.0572)	(0.0442)	(0.0577)	(0.0391)
CE × Public debt	**0.0024****	**0.0013^**	**0.0012^**	**0.0017***	**0.0014***
	(0.0011)	(0.0009)	(0.0008)	(0.0010)	(0.0008)
Observations	223	271	381	399	434
Countries	Not reported	113	149	149	152
Panel C. Real Demand					
Energy exposure	-0.001	-0.001	-0.001	-0.001	0.000
	(0.004)	(0.002)	(0.003)	(0.003)	(0.003)
Public debt	-0.062	-0.027	-0.023	-0.022	-0.031
	(0.064)	(0.073)	(0.069)	(0.069)	(0.070)
CE × Public debt	**0.001**	**0.001***	**0.001****	**0.001****	**0.001****
	(0.001)	(0.001)	(0.001)	(0.001)	(0.001)
Observations	223	343	381	381	416
Countries	Not reported	149	149	149	152
Panel D. Real Supply (+Trade)					
Energy exposure	-0.000	0.002	0.001	0.001	0.001
	(0.002)	(0.002)	(0.002)	(0.002)	(0.002)
Public debt	0.051**	0.039^	0.042^	0.029^	0.030^
	(0.024)	(0.030)	(0.028)	(0.027)	(0.026)
CE × Public debt	**-0.001***	**-0.001^**	**-0.001***	**-0.001***	**-0.001***
	(0.000)	(0.000)	(0.000)	(0.000)	(0.000)
Observations	223	343	381	399	399
Countries	Not reported	149	149	149	149

Notes: PPML estimates; coefficients are semi-elasticities. Standard errors clustered by country are in parentheses. * p<0.10, ** p<0.05, *** p<0.01. ^ indicates significance using one standard deviation confidence intervals. Controls and Time-fixed effect included. Full set of results available upon request. Tracker v1 includes first data release from February 28 to June 4 (while we use March-September measures for the estimates since there were only very few measures late February). Tracker v2 indicates second data release to September 2, and revisions to the previous data vintage.

Source: IMF Global Policy Tracker; Authors' estimates.

Monetary and financial responses show distinct associations (Annex Table C10). Greater exposure remains associated with a smaller *share* of monetary announcements, potentially reflecting greater relative emphasis on

other instruments rather than fewer monetary actions. Inflation above a country's historical norm is positively associated with monetary shares in some releases, but the association becomes significant by September. The exposure–inflation interaction remains insignificant, confirming our previous findings. For financial stabilization excluding below-the-line measures, the positive exposure–reserves interaction persists, consistent with reserve buffers enabling a stronger stabilization response at higher signed exposure, particularly among net importers. When below-the-line measures are included, reserves retain a positive association at average exposure, but the interaction is no longer significant at conventional levels.

Overall, while the mix of announced policy measures by economic function changed somewhat between the first and second quarters of the shock, the main results broadly hold. Greater exposure remains associated with a larger pass-through share; debt continues to strengthen the exposure association with pass-through. The exposure–debt interaction for fiscal shielding remains negative, although evidence for a transfer-specific debt channel becomes less statistically significant?? with a larger observations window.

C: Determinants of Policy Design Quality

Targeting and temporariness

The exposure–debt interaction lacks statistical significance across both design outcomes, and the point estimates do not indicate a systematic relationship (Table 8). The factors that constrained the choice of policy instruments therefore did not systematically dictate whether those instruments were targeted or temporary. Exposure itself carries a weakly significant negative coefficient on the temporary-design outcome (−0.001*), suggesting that more exposed economies announced somewhat fewer time-bound measures, though the estimate is significant only at the 10 percent level and should be read as suggestive.

Instead, three distinct patterns emerge. First, measures announced in election years are less likely to be temporary and score significantly lower on the overall design index (−0.168**). Governments facing voters appear more reluctant to attach explicit expiry dates to relief measures, consistent with the political difficulty of withdrawing support as elections approach (Drazen 2000). [13] Second, institutional capacity also plays a vital role. Measures adopted in fragile and conflict-affected states (FCS) are significantly less likely to be targeted (−0.108*). This aligns with the severe administrative constraints faced by these countries.

Third, higher headline inflation is associated with significantly weaker targeting (−0.006***) but is unrelated to temporariness. Because the specification already controls for governance, income group, and fragility, this result is unlikely to reflect institutional capacity more broadly. Rather, it appears to be a feature of high-inflation environments themselves: rapid and uneven price increases increase the urgency of providing support while

[13] As an additional robustness check, we include the social unrest indicator from Barrett and others (2022). We find little evidence that social unrest systematically shaped policy-design quality. The variable is insignificant across specifications explaining targeting, temporariness, the combined quality score, and vulnerable-household targeting.

making it harder to identify, in real time, the households most affected by rising living costs. This tends to favor broader measures over more narrowly targeted interventions.[14]

Table 8: Determinants of Quality of Responses

VARIABLES	Targeted	Temporary	TT score (0–2)
Energy exposure (CE)	0.000	-0.001*	-0.000
	(0.000)	(0.000)	(0.000)
Public debt	-0.005	0.008	0.003
	(0.009)	(0.009)	(0.014)
CE × Public debt	**0.000**	**-0.000**	**-0.000**
	(0.000)	(0.000)	(0.000)
Headline Inflation	-0.006***	-0.000	-0.006
	(0.002)	(0.003)	(0.004)
Election (year 2026)	-0.063	-0.105*	-0.168**
	(0.048)	(0.061)	(0.076)
Fragile and Conflict States	-0.108*	-0.095	-0.203
	(0.063)	(0.098)	(0.134)
Other Controls	Yes	Yes	Yes
Measures	574	574	574
Countries	102	102	102
Month and Measure Fixed Effect	Yes	Yes	Yes
R-squared	0.204	0.146	0.181

Note: OLS estimates at the measure level. Other controls are subsidies, monetary policy framework, governance and income-group. Full Table is available in Annex C.9-11. * p<0.10, ** p<0.05, *** p<0.01.

Sources: IMF Global Policy Tracker; and IMF staff calculations.

Speed of the announcement

Beyond whether measures were targeted and temporary, another dimension concerns how quickly these design features were adopted. Speed is second-order relative to targeting and temporariness: it describes the timing with which governments settled on a design, conditional on that design being chosen, rather than the design itself. On this margin, fiscal policy space does play a role (Table 9). A one-standard-deviation increase in public debt increases the speed-of-temporariness score by approximately 10 points, suggesting that more indebted governments moved more quickly to signal explicit sunset provisions to limit long-term liabilities.

Regarding inflation, the country-level timing regressions broadly reinforce these measure-level findings: A one-standard-deviation increase in headline inflation reduces the speed-of-targeting score by roughly 16 points,

[14] Only around 10 percent of all targeted measures were directed specifically towards households. Regressions using this narrower targeting definition yield little systematic evidence on its determinants. The only variable that enters significantly is FCS status, which is associated with a higher likelihood of adopting vulnerable-household targeting. This result is somewhat counterintuitive and should be interpreted with caution, given the small number of observations and the limited prevalence of such measures in the sample.

indicating that countries facing greater inflation pressures were substantially slower to incorporate targeted support into their policy packages, if they did so at all.

Table 9: Determinants of the Speed of Adopting Targeted and Temporary Policy Design

	Speed of first targeted response			Speed of first temporary response		
	(1)	(2)	(3)	(4)	(5)	(6)
VARIABLES	Governance	Income	FCS	Governance	Income	FCS
Energy exposure	0.077	0.077	0.077	-0.087*	-0.086*	-0.086*
	(0.064)	(0.062)	(0.062)	(0.047)	(0.047)	(0.046)
Public debt	0.793	0.854	0.388	3.032***	3.015***	2.878**
	(1.371)	(1.433)	(1.456)	(1.145)	(1.128)	(1.160)
Exposure x public debt	0.008	0.008	0.007	-0.003	-0.005	-0.003
	(0.014)	(0.013)	(0.014)	(0.010)	(0.009)	(0.009)
Headline inflation	-1.019***	-1.097***	-1.140***	0.182	0.312	0.117
	(0.255)	(0.282)	(0.296)	(0.305)	(0.280)	(0.337)
Election year	-1.092	-1.168	1.398	-4.736	-2.420	-3.975
	(9.022)	(9.175)	(9.113)	(8.728)	(8.848)	(8.732)
Fragile and conflict-affected state			18.081			8.539
			(20.966)			(14.859)
Governance index	-55.651*			-16.150		
	(31.067)			(33.046)		
Emerging market economy		4.478			11.949	
		(10.838)			(10.604)	
Low-income country		27.791*			-7.482	
		(14.780)			(15.517)	
Measures	102	102	102	102	102	102
R-squared	0.155	0.166	0.136	0.136	0.171	0.135

Note: OLS at the country level. The dependent variables measure the speed with which countries first adopted targeted and temporary policy design features. Countries that never adopted the relevant feature receive a score of zero. Among adopters, scores are normalized from 1 (slowest adopter) to 100 (fastest adopter).

Sources: IMF Global Policy Tracker; and IMF staff calculations.

Unlike the composition results, policy-design quality is largely unrelated to exposure, public debt, and their interaction. Public debt and the exposure-debt interaction are insignificant across all three outcomes. Exposure enters significantly only for temporariness, and then only weakly (−0.001*). The factors that constrained the choice of policy instruments therefore did not materially affect whether those instruments were targeted or temporary.

Determinants over time

The design features of announcements changed more noticeably than the overall policy mix between first quarter and second quarter of the shock. The share of fiscal measures naming a beneficiary group increased in July and August, while the share, including an expiry date or sunset provision, declined from around week 14

before stabilizing. In the updated regressions based on Mar-September data (Table 10), greater exposure is associated with a higher likelihood of naming beneficiaries, while higher inflation remains associated with a lower likelihood. Election-year status is now negatively associated with named beneficiaries, whereas its initial negative association with sunset provisions is no longer detected. The initial negative association between fragility and named beneficiaries is also no longer detected, weakening the evidence for the paper's earlier administrative-capacity interpretation. These results suggest that the factors associated with how support was specified changed more than the broad choice of instruments.

Table 10 Determinants of Quality of Responses over time

	Panel A. Targeted		Panel B. Temporary	
VARIABLES	**Tracker v1 (Mar–early Jun)**	**Tracker v2 (Mar–early Sep)**	**Tracker v1 (Mar–early Jun)**	**Tracker v2 (Mar–early Sep)**
Energy exposure (CE)	0.000	0.001***	-0.001*	0.000
	(0.000)	(0.000)	(0.000)	(0.000)
Public debt	-0.005	-0.004	0.008	-0.004
	(0.009)	(0.007)	(0.009)	(0.006)
CE × Public debt	**0.000**	**0.000**	**-0.000**	**-0.000**
	(0.000)	(0.000)	(0.000)	(0.000)
Headline Inflation	-0.006***	-0.004***	-0.000	-0.003^
	(0.002)	(0.002)	(0.003)	(0.002)
Election (year 2026)	-0.063^	-0.104***	-0.105*	0.001
	(0.048)	(0.034)	(0.061)	(0.038)
Fragile and Conflict States	-0.108*	0.010	-0.095	-0.010
	(0.063)	(0.055)	(0.098)	(0.058)
Measures	574	868	574	868
Countries	102	116	102	116
R-squared	0.204	0.222	0.146	0.316

Note: OLS estimates at the measure level. Standard errors are in parentheses. * p<0.10, ** p<0.05, *** p<0.01. ^ indicates significance using a 68 percent (one-standard-deviation) confidence interval for estimates that are not significant at the 10 percent level. Controls and month and measure fixed effects are included in all estimates but not reported. Tracker v1 reports the original paper's Table 7 results; Tracker v2 reports the updated release through early September.

Sources: IMF Global Policy Tracker; IMF staff calculations.

Robustness

To ensure the stability of the empirical findings, we subject the baseline models to a battery of alternative specifications, alternative variable definitions, and sample restrictions. Because the primary alternative measures of shock severity (Brent futures), financing stress (sovereign spreads), or inflation pressures (revision in inflation projections) are integrated directly into the main findings in Section V.A, this section summarizes the remaining robustness exercises (Table 11). Full econometric outputs for these tests are reported in the Annex or available upon request.

Table 11: Summary of Robustness Checks and Alternative Specifications

Robustness Test	Economic Rationale	Key Result	Location
Alternative energy exposure window (2022 net-import share + larger sample)	Tests joint sensitivity to using a single-year pre-shock import dependence rather than a multi-year average, over a broader country sample.	Core findings remain intact. The exposure–debt interaction remains negative for the fiscal shield and positive for pass-through.	Annex Table C.14
Regional spot-price benchmarks	Tests whether results are driven by global Brent prices rather than the specific crude blends (WTI, Dubai/Oman, etc.) relevant to local economies.	Core fiscal space mechanisms hold; exposure–debt interactions retain expected signs and significance.	Annex Table C.15
Importer vs. Exporter heterogeneity	Tests whether the fiscal-space mechanism differs systematically depending on a country's directional energy trade status.	Tests of slope equality reveal no systematic difference in the baseline exposure–debt relationship between importers and exporters.	Annex Table C.16

The baseline mechanisms prove highly stable across these alternative constructions. The fiscal-space mechanism survives when exposure is reconstructed using regional spot-price benchmarks, and when we apply a bundled robustness check that simultaneously shifts the import-share window to a single year (2022) and expands the estimation sample. Furthermore, formal slope-equality tests between net energy importers and exporters provide little evidence of systematic heterogeneity, suggesting the core fiscal-space mechanism operates consistently across the signed-exposure distribution.

In addition, we conduct two robustness tests. First, changes in a policy-family share can arise either because the number of measures in that family changes or because the overall size of the policy package changes. Accordingly, we re-estimate selected baseline specifications using policy-family announcement counts, rather than shares, as the dependent variables.

We therefore re-estimate selected baseline specifications using policy-family counts, rather than shares, as the dependent variables. The main qualitative patterns are broadly preserved, suggesting that the share-based findings are not driven solely by variation in the common denominator (available upon request). Second, the main conclusions remain robust to leave-one-country-out exercises and continue to be supported by bootstrap inference.

Geographic Peer Policy Activity: Do Neighboring Countries Influence Policy Choices?

A final concern is that governments may respond not only to their own exposure and policy conditions, but also to policy actions taken by neighboring countries. If spatial policy diffusion is prominent, the estimated effects of exposure and policy space may partly capture regional imitation rather than domestic economic constraints.

To test this, we augment the baseline specification with a geographic policy-diffusion index. Let $N_c$denote the set of the five nearest geographic neighbors to country c, and let d_{cj} denote the capital-to-capital distance between country $c$and neighbor j. The normalized spatial weight w_{cj}assigned to each neighbor is inversely proportional to distance and defined as:

$$w_{cj} = \frac{d_{cj}^{-1}}{\sum_{k \in N_c} d_{ck}^{-1}}$$

The geographic policy-diffusion index, $Peer_{ct}$, is then constructed as the distance-weighted average of total policy announcements made by these neighbors in the previous month $(t-1)$ to ensure proper temporal ordering:

$$Peer_{ct} = \sum_{j \in N_c} w_{cj}\, Y_{j,t-1}$$

where $Y_{j,t-1}$represents the total number of policy measures announced by a neighboring country $j$in month $t-1$. Because this index captures the aggregate volume of neighboring announcements rather than instrument-specific shares, it tests whether domestic policy is driven by the general intensity and visibility of regional policy action, rather than testing for direct imitation of specific policy instruments.

The inclusion of the diffusion control leaves the main results unchanged (Table 11). The negative exposure–debt interaction for the fiscal shield and consumer price and income protection remains intact, as does the positive interaction for price pass-through. The subsidy and income-group patterns are also unaffected. This confirms that the core fiscal-space mechanism is not an artifact of broad regional policy intensity.

The diffusion index itself is significant only in the price pass-through specification, where countries whose neighbors had recently announced a high volume of measures were less likely to rely on pass-through. A one-standard-deviation increase in neighboring countries' policy activity is associated with roughly a 40 percent lower pass-through share. One interpretation is that high aggregate policy activity in neighboring economies creates domestic political pressure to deploy visible cushioning measures, thereby reducing reliance on domestic price adjustment. However, because the diffusion index measures aggregate policy intensity, it cannot definitively rule out composition-specific peer effects. Overall, there is little evidence that aggregate geographic policy diffusion systematically confounds the domestic constraints shaping the composition of responses.

Taken together, the robustness exercises reinforce the paper's central findings. The debt-conditioning mechanism is stable across alternative constructions of the exposure index, including the use of Brent futures prices, regional crude benchmarks, and both multi-year and single-year measures of energy-import dependence. The core fiscal-space result also survives alternative measures of financing conditions: both average and monthly sovereign-spread deterioration relative to countries' own pre-crisis spread baselines indicate that tightening market financing conditions constrained the use of costly fiscal tools, forcing a reliance on domestic price adjustment. Formal importer-exporter heterogeneity tests provide little evidence that the

fiscal-shield and pass-through relationships differ systematically between energy importers and exporters. Finally, adding a measure of policy activity among geographic neighbors leaves the principal results unchanged, suggesting that the composition mechanism is not driven by cross-country policy diffusion. Overall, the evidence consistently supports the paper's central conclusion: tighter fiscal and financing constraints shift adjustment away from fiscal cushioning and toward domestic price adjustment.

Table 12: Public Debt and the Composition of Adjustment to the Energy Shock (Adding Peer Policy Activity Index)

VARIABLES	(1) Fiscal Shield	(2) Price Pass-Through	(3) Consumer Price and Income Protection	(4) Real Demand	(5) Real Supply (+Trade)	(6) Real Supply
Energy exposure (CE)	0.002	0.0156***	0.001	-0.001	0.000	0.002
	(0.002)	(0.0047)	(0.002)	(0.005)	(0.002)	(0.003)
Public debt	0.012	-0.0408	0.010	-0.063	0.052**	0.022
	(0.028)	(0.0737)	(0.025)	(0.065)	(0.027)	(0.033)
CE × Public debt	**-0.001****	**0.0026***	**-0.001****	**0.002**	**-0.002*****	**-0.001***
	(0.000)	(0.0014)	(0.000)	(0.001)	(0.001)	(0.001)
Income Group (EM vs AE)	-0.341	1.097	-0.214	-2.218*	-0.142	-0.247
	(0.352)	(0.897)	(0.298)	(1.156)	(0.323)	(0.384)
Income Group (LIC vs. AE)	-0.876**	0.931	-0.801**	-0.854	-0.052	-0.003
	(0.401)	(0.941)	(0.373)	(1.077)	(0.404)	(0.586)
Subsidy Medium (vs High)	1.085***	0.857	0.891***	-2.206***	-1.086***	-0.846*
	(0.341)	(0.546)	(0.302)	(0.830)	(0.381)	(0.503)
Subsidy Low (vs High)	0.752**	0.875*	0.562*	-1.312**	-0.649*	-0.670
	(0.353)	(0.453)	(0.320)	(0.540)	(0.384)	(0.499)
Geographic peer policy activity index	**-0.150**	**-0.543****	**-0.089**	**0.122**	**-0.093**	**-0.048**
	(0.152)	(0.228)	(0.149)	(0.278)	(0.178)	(0.215)
Observations	219	219	219	219	219	219
Pseudo-R^2	0.056	0.119	0.043	0.218	0.087	0.081
Month fixed effects	Yes	Yes	Yes	Yes	Yes	Yes
Other Controls	Yes	Yes	Yes	Yes	Yes	Yes

Note: PPML estimates; coefficients are semi-elasticities. Standard errors clustered by country in parentheses. Outliers are excluded.

Sources: CEPII Database, IMF Global Policy Tracker; and Authors' estimates.

Conclusions

The 2026 Middle East energy shock triggered a rapid but highly heterogeneous policy response. Using the newly constructed IMF Global Policy Tracker, this paper shows that the composition of the initial announced responses was shaped primarily by exposure to the shock and fiscal and financing constraints, while the quality of their design — whether measures were targeted and temporary — was not. Policy-design quality instead reflected inflation conditions, political cycles, and institutional capacity.

The results suggest that exposure to the shock and policy space tend to influence the composition of announced policy responses. At average public debt, greater exposure to shock is associated with a larger share of pass-through measures. For higher debt levels, the association between exposure and pass through conditional on debt level strengthens, while the association between exposure and fiscal shielding weakens. This debt-sensitivity worked through household transfers rather than producer subsidies: as debt rises, governments cut back on direct support to households while leaving subsidies to producers largely unchanged, suggesting that fiscal space — and possibly administrative delivery capacity — constrained direct household support specifically. Monetary responses followed a different logic: they were less closely tied to debt and more closely associated with inflation above historical norms and monetary policy frameworks. Financial-stabilization measures were less related to debt or inflation and more strongly associated with reserve adequacy, especially among more exposed economies.

The preliminary extension of the observation window through mid-September shows a gradual decline of the share of fiscal-shield measures and an increase in the share of pass-through, demand-management, and inflation management measures. The updated regression estimates suggest that the positive association between exposure and the pass-through share broadly holds, and strengthens as public debt rises. The exposure–debt interaction for fiscal shielding remains negative but becomes less statistically significant, as does the interaction for household transfers. Greater exposure to energy shock remains associated with a smaller share of monetary-policy responses, while the inflation association is less consistent across vintages. Financial-stabilization measures remain associated with reserve buffers, although the pattern depends on which instruments are included. Because successive vintages add announcements and revise earlier records and sample coverage, these comparisons do not isolate changes in policy behavior over time

By contrast, policy-design quality was shaped less by exposure to energy shock or fiscal space than by the political cycle and institutional environment. Measures announced in higher-inflation conditions were less likely to be targeted and were slower to incorporate targeted design features; election-year measures were less likely to be temporary; and fragile and conflict-affected states displayed weaker targeting. The core results are robust to alternative exposure measures and financing-stress indicators. They also hold when controlling for policy activity in neighboring countries, indicating that they are not driven by regional policy diffusion — that is, by governments imitating measures announced nearby, rather than responding to their own constraints.

These observed responses do not always adhere to the standard policy recommendations. In principle, governments facing a temporary energy shock should provide targeted and temporary support to the most affected households, containing fiscal costs, limiting regressive leakage, and preserving price signals. In practice, limited fiscal space, weak delivery systems, and political constraints push some economies toward broader pass-through, demand restraint, or less targeted support. The results therefore suggest that departures

from first-best policy reflected the interaction of financing limits, implementation capacity, and political cycle effects, rather than simply a lack of policy intent.

Ultimately, the paper highlights the practical value of real-time policy monitoring for surveillance, crisis preparedness, and crisis management. By transforming dispersed policy announcements into a comparable and continuously updated record, the Tracker provides an early view of how countries respond to shocks before conventional statistics become available. This allows policymakers to assess and refine policy packages while a shock is still unfolding, rather than only evaluating them ex post. As macroeconomic outcomes become observable, including on comparable information on the scale of the policy actions, the database can also support assessments of the effectiveness of different policy measures. Over a longer horizon, extending coverage beyond the immediate crisis period would enable analysis of which measures are sustained, which are phased out, and whether fiscal space ultimately shapes countries' ability to withdraw emergency support.

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Annex

A. Policy Measure Taxonomy

Table A. 1: Policy Measure Classification: Level 1 and Level 2

The tracker classifies each announced measure using a two-level taxonomy comprising 12 Level 1 measure types and 63 Level 2 taxonomies. Every measure is assigned to exactly one Level 2 taxonomy, which in turn maps to a single Level 1 type. The "Communication only" taxonomy records announcements that signal intent without a concrete policy action; these are retained in the database for completeness and are excluded from the measure counts reported in the main text.

Level 1: Measure type	Level 2: Specific measure	Economic function
Fiscal - Taxes	Fuel excise duty cut/relief	Fiscal shield / Price suppression
	Fuel tax cut/relief	Fiscal shield / Price suppression
	Electricity tax cut/relief	Fiscal shield / Price suppression
	Transport-related tax cut/relief	Fiscal shield / Price suppression
	Food excise duty or tax cut/relief	Fiscal shield / Price suppression
	Green transition / energy security excise/tax cut	Other
	Broad-based tax or excise duty cuts/relief	Fiscal shield / Price suppression
	Windfall tax on energy companies introduced/expanded	Price pass-through
	Broad-based tax or excise duty increases	Price pass-through
	Communication only	Drop[1]
	Other	Other
Fiscal - Spending	Subsidy to fuel/power companies introduced/expanded to limit/avoid price increase	Fiscal shield / Price suppression
	Subsidy to transport companies introduced/expanded to limit/avoid price increase	Fiscal shield / Price suppression
	Subsidy to other businesses introduced/expanded to provide relief	Fiscal shield / Price suppression
	Transfers to households introduced/expanded (cash/in-kind)	Fiscal shield
	Green transition / energy security investment/subsidy	Other
	Other increased fiscal spending	Other
	Decision to pass-through energy price hike (full/partial) to limit cost of existing fuel subsidy scheme	Price pass-through
	Communication only	Drop
	Other cuts in fiscal spending	Price pass-through
Fiscal - Below the Line	New/increased credit guarantee scheme or state-backed loans	Financial
	New/expanded bank deposit guarantee	Financial
	Communication only	Drop
	Other	Financial
Prices	Fuel/electricity price cap introduction (fiscal link unclear)	Price suppression / Price control

[1] "Communication only" items refer announcement expressing general stance / position to the ongoing issues and policies without clear actions. And thus, they are not used in this paper.

Level 1: Measure type	Level 2: Specific measure	Economic function
	Cap introduced on other prices, such as food/water/transport (fiscal link unclear)	Price suppression / Price control
	Administered fuel/electricity price increased (fiscal link unclear)	Price pass-through
	Administered other prices increased, such as food/water/transport (fiscal link unclear)	Price pass-through
	Communication only	Drop
	Other	Other
Monetary	Policy rate cut	Monetary tightening / hold or Inflation management
	Policy rate on hold	Monetary tightening / hold or Inflation management
	Policy rate increase	Other
	Relax reserve requirement, asset purchases and other market-stabilizing measures	Other
	Communication only	Drop
	Other	Other
FXI	Purchase of foreign currency	Financial
	Sale of foreign currency	Financial
	Currency swap agreement (new/expanded)	Financial
	Communication only	Drop
	Other	Financial
CFM	CFM	Financial
	Communication only	Drop
Financial	Liquidity facility for financial institutions introduced/expanded	Financial
	Regulatory forbearance (ie. lower prudential standards, fees, etc.)	Financial
	Communication only	Drop
	Other	Financial
Trade	Export ban on fuels	Real supply
	Export ban on other products	Real supply
	Communication only	Drop
	Other	Real supply
Real - Supply	Release of strategic fuel reserves	Real supply
	Relaxation of fuel standards	Real supply
	Communication only	Drop
	Other	Real supply
Real - Demand	Fuel/electricity rationing for sectors/households	Real demand
	Public sector energy conservation	Real demand
	Reduced workweek recommended/mandated	Real demand
	Work from home recommended/mandated	Real demand
	Communication only	Drop
	Other	Real demand
Other	Other	Other
	Communication only	Drop

Source: IMF Global Policy Tracker.

B. Further Data Characteristics and Stylized Facts

Additional data characteristics and stylized facts are reported in this section.

Table B. 1. Number of Countries and Measures per Country

Table A. Number of Countries with One or More Measures for Middle East Energy Shock
By Regions and Income Levels (all sample period)

# of countries	All	AE	EM	LIC
All	**175**	**38**	**74**	**63**
AFR	**41**	0	10	31
APD	**34**	7	12	15
EUR	**44**	29	14	1
MCD	**24**	0	15	9
WHD	**32**	2	23	7

Table B. Number of Announced Measures per Country
By Regions and Income Levels (February 27 through May 30)

# of measures	All	AE	EM	LIC
All	**5.5**	**6.4**	**5.9**	**4.5**
AFR	**4.3**	-	5.4	3.9
APD	**8.1**	10.0	9.4	6.3
EUR	**5.8**	5.6	5.7	10.0
MCD	**5.4**	-	6.5	3.4
WHD	**3.9**	5.0	4.0	3.3

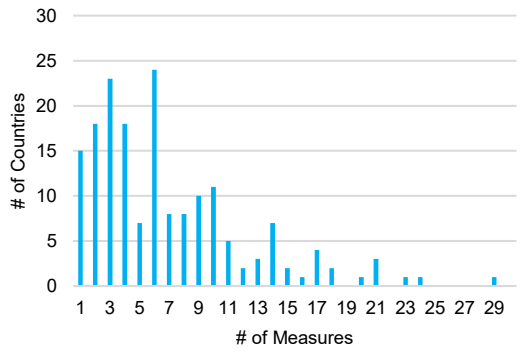
Table C. Number of Announced Measures per Country
By Regions and Income Levels (June 1 through September 15)

# of measures	All	AE	EM	LIC
All	**2.1**	**1.9**	**2.5**	**1.8**
AFR	**1.8**	-	1.7	1.9
APD	**3.0**	3.3	4.0	1.4
EUR	**1.5**	1.5	1.8	-
MCD	**2.4**	-	2.6	2.0
WHD	**1.6**	-	1.7	1.5

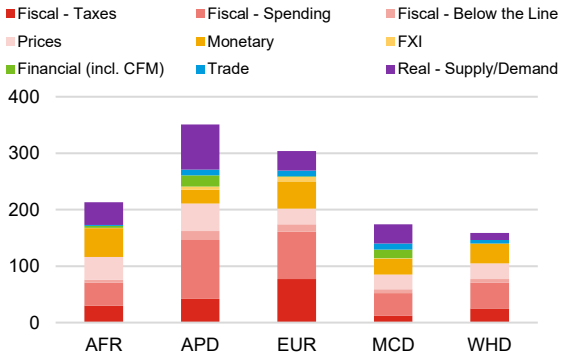
Sources: IMF Global Policy Tracker; and IMF staff calculations.

Figure B. 1: Additional Stylized Facts

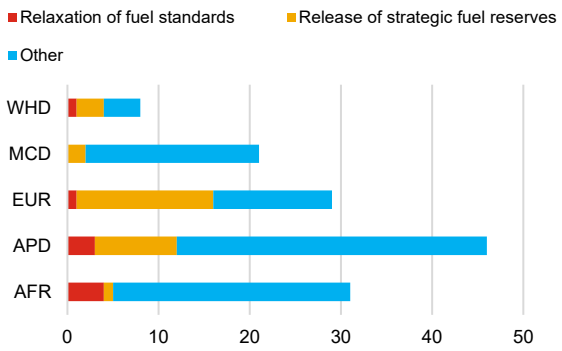
Panel A. Number of Countries, by Number of Measures



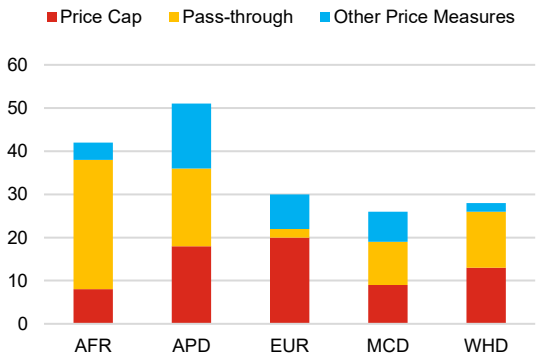
Panel B. Responses to the War, by Measures and Regions (Number of measures)



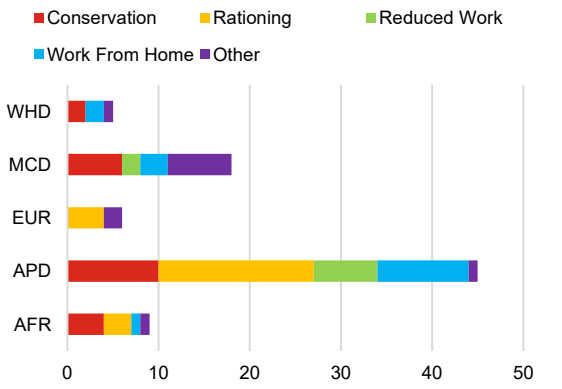
Panel C. Real Supply Measures by Region (Number of measures)



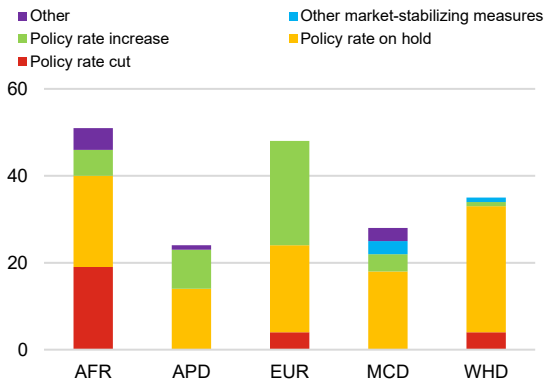
Panel D. Price Measures by Region (Number of measures)



Panel E. Real Demand Measures by Regions (Number of measures)



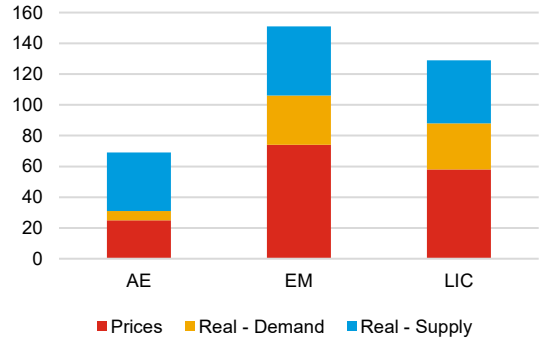
Panel F. Monetary Policy Decisions, by Regions (Number of measures)



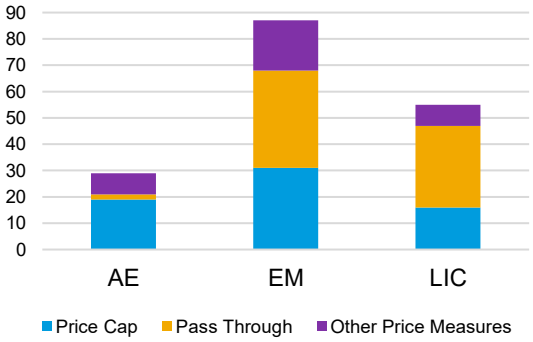
Sources: IMF Global Policy Tracker; and IMF staff calculations.

Figure B. 2: Price and Supply/Demand Policy Responses

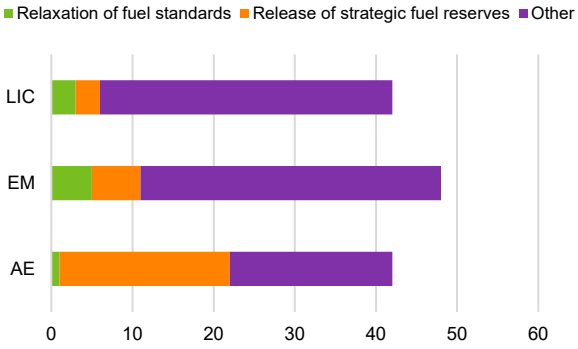
Panel A. Price and Real Measures by Income Group



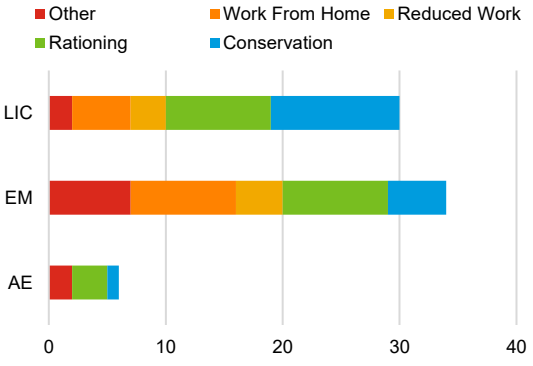
Panel B. Price Measures by Category and Income Group



Panel C. Real Supply Measures by taxonomies and Income Group



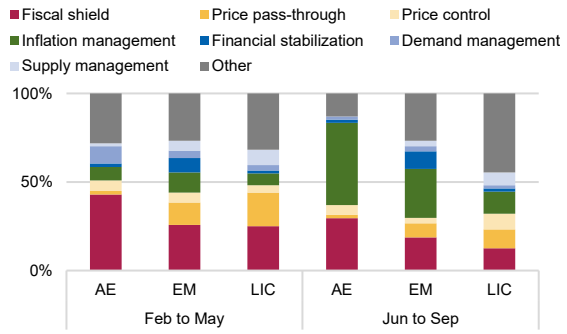
Panel D. Real Demand Measures by taxonomies and Income Group



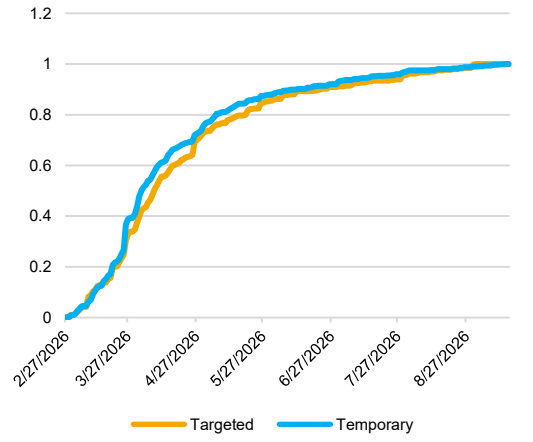
Sources: IMF Global Policy Tracker; and IMF staff calculations.

Figure B. 3: Composition and Quality of Policy Mix

Panel A. Composition of Policy Mix by Income Group[1]



Panel B. Distribution of Temporary and Targeted Measures



Sources: IMF Global Policy Tracker; and IMF staff calculations.

[1] Other is a residual category containing measures classified as “Other” under the GPT taxonomy,

C. Additional Tables on the Composition Regression

Full regression results are reported in this section.

Table C. 1: Summary Statistics Main Variables of Interest

VARIABLES	Mean	SD	P25	Median	P75
Energy exposure (CE)	1.13750414596e-15	76.462852	-0.93029153	17.540854	31.40465
Gross public debt (% GDP)	60.39919780901523	31.448328	40.001217	57.083485	74.042244
Inflation deviation (log)	2.22787229022e-18	3.5668442	-1.1562812	-0.002239009	0.85080713
Spread deterioration	7.261574766216897	16.887905	-1.5464418	7.165658	18.387873

Note: Energy exposure (CE) is the net energy-import share (average 2021-2023) multiplied by the percentage change in Brent spot prices relative to the pre-crisis baseline. Inflation is log level deviation from 10 year average. Sovereign spread change is calculated as country-average percent deviation from own pre-crisis spread baseline.

Sources: IMF Global Policy Tracker; and IMF staff calculations.

Table C. 2: Public Debt and the Composition of Adjustment to the Energy Shock

VARIABLES	(1) Fiscal Shield	(2) Price Pass-Through	(3) Consumer Price and Income Protection	(4) Real Demand	(5) Real Supply (+Trade)	(6) Real Supply
Energy exposure (CE)	0.001	0.0106***	0.000	-0.001	-0.000	0.001
	(0.001)	(0.0031)	(0.001)	(0.004)	(0.002)	(0.002)
Public debt	0.011	-0.0488	0.009	-0.062	0.051**	0.033
	(0.027)	(0.0763)	(0.025)	(0.064)	(0.024)	(0.032)
CE × Public debt	-0.001**	0.0024**	-0.001**	0.001	-0.001*	-0.001***
	(0.000)	(0.0011)	(0.000)	(0.001)	(0.000)	(0.001)
Governance index	-0.327	-0.8896	-0.113	-5.889**	2.180**	3.156**
	(1.067)	(1.9136)	(0.962)	(2.881)	(1.008)	(1.374)
Income Group (EM vs AE)	-0.250	1.1481	-0.152	-2.393**	-0.130	-0.122
	(0.342)	(0.9371)	(0.290)	(1.143)	(0.307)	(0.364)
Income Group (LIC vs. AE)	-0.744*	1.1617	-0.715*	-0.917	-0.120	0.015
	(0.405)	(0.9779)	(0.372)	(1.095)	(0.374)	(0.518)
Inflation quintile 2 (vs. lowest)	0.091	-0.7912	0.149	0.537	0.358	0.929
	(0.327)	(0.6733)	(0.288)	(0.564)	(0.416)	(0.606)
Inflation quintile 3 (vs. lowest)	-0.071	0.2315	-0.199	-1.590*	0.847**	1.451***
	(0.372)	(0.5653)	(0.325)	(0.880)	(0.397)	(0.544)
Inflation quintile 4 (vs. lowest)	-0.197	0.1459	-0.151	0.337	0.183	1.057*
	(0.360)	(0.5325)	(0.296)	(0.502)	(0.474)	(0.598)
Inflation quintile 5 (vs. lowest)	0.397	0.3892	0.126	-1.061	-0.344	0.679
	(0.458)	(0.6750)	(0.393)	(0.945)	(0.500)	(0.660)
FX Regime: Intermediate	0.206	0.0115	0.241	-2.763***	0.428	0.086
	(0.363)	(0.4697)	(0.323)	(0.855)	(0.383)	(0.437)
FX Regime: Pegged	-0.506	1.2136	-0.261	-1.393	0.316	-0.054
	(0.528)	(1.1495)	(0.440)	(0.973)	(0.697)	(0.770)
Monetary Regime: Exchange rate anchor	0.379	-0.8687	0.395	2.178**	-0.299	0.407
	(0.358)	(1.0303)	(0.337)	(0.973)	(0.625)	(0.630)
Monetary Regime: Monetary aggregate target	-0.225	0.0673	0.066	1.658*	1.022***	1.197***
	(0.472)	(0.4703)	(0.417)	(0.885)	(0.358)	(0.410)
Monetary Regime: Other	0.531	1.0706*	0.526	1.824**	0.265	0.613
	(0.443)	(0.6108)	(0.433)	(0.713)	(0.413)	(0.547)
Subsidy Medium (vs High)	1.129***	0.9699*	0.936***	-2.272***	-1.040***	-0.770*
	(0.344)	(0.5555)	(0.291)	(0.826)	(0.363)	(0.441)
Subsidy Low (vs High)	0.813**	1.0533**	0.613*	-1.346**	-0.524	-0.585
	(0.363)	(0.5107)	(0.314)	(0.528)	(0.369)	(0.448)
Observations	223	221	223	223	223	223
Pseudo-R^2	0.052	0.100	0.042	0.223	0.087	0.076
Month fixed effects	Yes	Yes	Yes	Yes	Yes	Yes

Note: PPML estimates; coefficients are semi-elasticities. Standard errors clustered by country in parentheses. Energy exposure (CE) is the net energy-import share (average 2021-2203) multiplied by the percentage change in Brent spot prices relative to the pre-crisis baseline. Fiscal shield comprises measures that cushion households and firms from higher energy costs through the budget: energy and broad-based tax or excise relief (fuel, electricity, food, transport), producer subsidies (to fuel/power, transport, and other firms), and household transfers (cash or in-kind). Price pass-through comprises measures that transmit higher costs to consumers: spending cuts, energy windfall and broad-based tax increases, explicit decisions to pass through energy price hikes, and administered increases in fuel, electricity, or other regulated prices. Consumer price and income protection combines the fiscal shield with administrative price caps (regulatory caps on fuel, electricity, or other prices, with fiscal link unclear), capturing all measures that hold domestic prices below their market level. Real supply and trade combines supply-side measures with trade measures (taxonomy Real – Supply and Trade). All are defined at the measure level from the Tracker's detailed taxonomy and expressed as shares of a country's total announced measures in each month (more details can be found in Table A.1 in Annex A). Reference categories are the lowest inflation quintile, inflation targeters, and floating FX regime. Public debt is gross general-government debt, centered and scaled per 10 percentage points of GDP. Energy subsidy level is constructed from 2025 explicit energy subsidy data (measured as a percentage of GDP) and categorized into terciles: low (bottom third), medium (middle third), and high (top third). Explicit energy subsidies are defined as subsidies arising when the cost of energy supply exceeds the retail price paid by consumers. Outliers are excluded.

Sources: IMF Global Policy Tracker; and Authors' estimates .

Table C. 3: Public Debt and the Composition of Adjustment to the Energy Shock (Using Futures)

VARIABLES	(1) Fiscal Shield	(2) Price Pass-Through	(3) Consumer Price and Income Protection	(4) Real Demand	(5) Real Supply (+Trade)	(6) Real Supply
Energy exposure (CE)	0.001	0.0149***	0.000	-0.001	0.000	0.002
	(0.002)	(0.0048)	(0.002)	(0.005)	(0.002)	(0.003)
Public debt	0.011	-0.0500	0.010	-0.065	0.051**	0.034
	(0.027)	(0.0753)	(0.025)	(0.066)	(0.025)	(0.033)
CE × Public debt	-0.001**	0.0033**	-0.001**	0.002	-0.002***	-0.001*
	(0.000)	(0.0014)	(0.000)	(0.001)	(0.001)	(0.001)
Income Group (EM vs AE)	-0.255	1.153	-0.159	-2.368**	-0.134	-0.126
	(0.342)	(0.938)	(0.290)	(1.123)	(0.308)	(0.366)
Income Group (LIC vs. AE)	-0.751*	1.151	-0.725*	-0.925	-0.120	0.013
	(0.405)	(0.993)	(0.373)	(1.065)	(0.372)	(0.518)
Inflation quintile 2 (vs. lowest)	0.080	-0.824	0.137	0.495	0.338	0.905
	(0.328)	(0.665)	(0.289)	(0.563)	(0.419)	(0.612)
Inflation quintile 3 (vs. lowest)	-0.072	0.192	-0.204	-1.561*	0.846**	1.449***
	(0.371)	(0.546)	(0.325)	(0.852)	(0.400)	(0.550)
Inflation quintile 4 (vs. lowest)	-0.203	0.073	-0.159	0.327	0.175	1.047*
	(0.361)	(0.524)	(0.297)	(0.494)	(0.476)	(0.603)
Inflation quintile 5 (vs. lowest)	0.394	0.232	0.121	-1.089	-0.343	0.674
	(0.459)	(0.667)	(0.394)	(0.932)	(0.502)	(0.665)
FX Regime: Intermediate	0.210	0.030	0.246	-2.708***	0.430	0.087
	(0.364)	(0.460)	(0.324)	(0.849)	(0.387)	(0.440)
FX Regime: Pegged	-0.501	1.580	-0.259	-1.353	0.332	-0.044
	(0.528)	(1.279)	(0.440)	(0.963)	(0.704)	(0.777)
Monetary Regime: Exchange rate anchor	0.379	-1.182	0.397	2.156**	-0.305	0.401
	(0.358)	(1.178)	(0.336)	(0.966)	(0.629)	(0.632)
Monetary Regime: Monetary aggregate target	-0.226	0.035	0.061	1.636*	1.021***	1.198***
	(0.473)	(0.463)	(0.418)	(0.889)	(0.358)	(0.412)
Monetary Regime: Other	0.523	0.879	0.514	1.793**	0.266	0.613
	(0.445)	(0.611)	(0.435)	(0.713)	(0.412)	(0.551)
Subsidy Medium (vs High)	1.127***	0.823	0.933***	-2.284***	-1.040***	-0.770*
	(0.345)	(0.544)	(0.292)	(0.813)	(0.362)	(0.444)
Subsidy Low (vs High)	0.808**	0.872*	0.608*	-1.390***	-0.539	-0.599
	(0.364)	(0.484)	(0.313)	(0.528)	(0.366)	(0.450)
Governance Index	-0.321	-0.941	-0.113	-5.824**	2.204**	3.180**
	(1.065)	(1.991)	(0.962)	(2.839)	(1.005)	(1.375)
Observations	223	223	223	223	223	223
Pseudo-R^2	0.052	0.097	0.043	0.219	0.087	0.077
Month fixed effects	Yes	Yes	Yes	Yes	Yes	Yes
Other Controls	Yes	Yes	Yes	Yes	Yes	Yes

Note: PPML estimates; coefficients are semi-elasticities. Standard errors clustered by country in parentheses. Exposure is measured using the Brent futured instead of spot prices, net energy imports is the average 2021-2023. Fiscal shield comprises measures that cushion households and firms from higher energy costs through the budget: energy and broad-based tax or excise relief (fuel, electricity, food, transport), producer subsidies (to fuel/power, transport, and other firms), and household transfers (cash or in-kind). Price pass-through comprises measures that transmit higher costs to consumers: spending cuts, energy windfall and broad-based tax increases, explicit decisions to pass through energy price hikes, and administered increases in fuel, electricity, or other regulated prices. Consumer price and income protection combines the fiscal shield with administrative price caps (regulatory caps on fuel, electricity, or other prices, with fiscal link unclear), capturing all measures that hold domestic prices below their market level. Real supply and trade combines supply-side measures with trade measures (taxonomy Real – Supply and Trade). All are defined at the measure level from the Tracker's detailed taxonomy and expressed as shares of a country's total announced measures in each month (more details can be found in Table A.1 in Annex A). Reference categories the lowest inflation quintile, no independent monetary policy, and floating FX regime. Public debt is gross general-government debt, centered and scaled per 10 percentage points of GDP. Energy subsidy level is constructed from 2025 explicit energy subsidy data (measured as a percentage of GDP) and categorized into terciles: low (bottom third), medium (middle third), and high (top third). Explicit energy subsidies are defined as subsidies arising when the cost of energy supply exceeds the retail price paid by consumers. Outliers are excluded. *** p<0.01, ** p<0.05, *p<0.1
Sources: IMF Global Policy Tracker; and IMF staff calculations.

Table C. 4: Policy Composition Using Sovereign Spreads as a Measure of Fiscal Space

	(1)	(2)	(3)	(4)	(5)	(6)
VARIABLES	Fiscal Shield	Price Pass-Through	Consumer Price and Income Protection	Real Demand	Real Supply (+Trade)	Real Supply
Energy Exposure	-0.000	0.0070	-0.001	0.035**	0.002	-0.000
	(0.002)	(0.0046)	(0.002)	(0.014)	(0.004)	(0.005)
Spread	-0.001	0.0008	-0.002	0.084***	-0.004	-0.001
	(0.007)	(0.0103)	(0.006)	(0.028)	(0.011)	(0.013)
Energy Exposure # Spread	0.000	0.0005**	-0.000	-0.001**	-0.001**	-0.001*
	(0.000)	(0.0002)	(0.000)	(0.000)	(0.000)	(0.000)
Income Group (EM vs AE)	-0.436	-0.1904	-0.107	-0.447	0.031	0.087
	(0.390)	(0.8278)	(0.321)	(1.136)	(0.675)	(0.878)
Income Group (LIC vs. AE)	-1.198**	0.0742	-0.928*	2.347	0.586	0.465
	(0.583)	(1.0467)	(0.487)	(2.017)	(0.810)	(1.071)
Subsidy Medium (vs High)	1.044***	0.5651	0.961***	-2.662***	-0.875*	-0.425
	(0.402)	(0.6048)	(0.336)	(1.008)	(0.502)	(0.633)
Subsidy Low (vs High)	1.135***	-0.2855	0.888**	-2.520***	-0.358	-0.068
	(0.421)	(0.5880)	(0.354)	(0.719)	(0.369)	(0.534)
Observations	118	115	118	115	115	115
Countries	62	60	62	60	60	60
Pseudo R-squared	0.111	0.099	0.072	0.270	0.109	0.094
Month Fixed Effects	Yes	Yes	Yes	Yes	Yes	Yes
Other controls	Yes	Yes	Yes	Yes	Yes	Yes

Note: PPML estimates; coefficients are semi-elasticities. Standard errors clustered by country in parentheses. The specification replaces the public-debt interaction of the baseline (with an interaction between energy exposure and sovereign spreads — a forward-looking, market-based measure of fiscal space). Sovereign spread change is calculated as country-average percent deviation from own pre-crisis spread baseline. Sovereign spreads are centered at the sample mean and scaled per 100 basis points, so the interaction coefficient gives the change in the exposure effect per 100-basis-point increase in the spread. Energy exposure is the net energy-import share (averaged 2021-2023) multiplied by the change in Brent spot prices, centered at its sample mean. Reference categories the lowest inflation quintile, inflation targeters, and floating FX regime. The sample is limited to the 68 economies with traded sovereign debt for which spreads are available. * p<0.10, ** p<0.05, *** p<0.01.

Sources: IMF Global Policy Tracker; Bloomberg (sovereign spreads); and IMF staff calculations.

Table C. 5: Policy Composition Using Sovereign Spreads as a Measure of Fiscal Space (monthly change from the baseline)

VARIABLES	(1) Fiscal Shield	(2) Price Pass-Through	(3) Consumer Price and Income Protection	(4) Real Demand	(5) Real Supply (+Trade)	(6) Real Supply
Energy Exposure	-0.001	0.008*	-0.001	0.022**	0.004	0.001
	(0.003)	(0.005)	(0.002)	(0.011)	(0.004)	(0.005)
Spread	0.003	-0.009	0.001	0.027*	-0.007	-0.004
	(0.004)	(0.010)	(0.004)	(0.015)	(0.009)	(0.009)
Energy Exposure # Spread	0.000	0.000*	-0.000	-0.000	-0.000**	-0.000*
	(0.000)	(0.000)	(0.000)	(0.000)	(0.000)	(0.000)
Income Group (EM vs AE)	-0.567	-0.046	-0.257	-0.976	0.161	0.315
	(0.440)	(0.880)	(0.336)	(0.920)	(0.658)	(0.882)
Income Group (LIC vs. AE)	-1.199*	0.243	-0.964*	0.283	0.900	1.237
	(0.619)	(1.026)	(0.505)	(1.591)	(0.867)	(1.165)
Subsidy Medium (vs High)	1.076**	0.317	0.940**	-2.635***	-0.878*	-0.459
	(0.440)	(0.564)	(0.369)	(0.932)	(0.491)	(0.638)
Subsidy Low (vs High)	1.213***	-0.556	0.901**	-2.073***	-0.490	-0.166
	(0.467)	(0.550)	(0.387)	(0.671)	(0.407)	(0.561)
Observations	109	106	109	106	106	106
Countries	60	58	60	58	58	58
Pseudo R-squared	0.121	0.114	0.072	0.231	0.103	0.082
Other controls	Yes	Yes	Yes	Yes	Yes	Yes

Note: PPML estimates; coefficients are semi-elasticities. Standard errors clustered by country in parentheses. The specification replaces the public-debt interaction of the baseline (with an interaction between energy exposure and sovereign spreads — a forward-looking, market-based measure of fiscal space). As a robustness, sovereign spread change is calculated as the monthly percent deviation of sovereign spreads from each country's own pre-crisis baseline. Sovereign spreads are centered at the sample mean and scaled per 100 basis points, so the interaction coefficient gives the change in the exposure effect per 100-basis-point increase in the spread. Energy exposure is the net energy-import share (averaged 2021-2023) multiplied by the change in Brent spot prices, centered at its sample mean. Reference categories the lowest inflation quintile, no independent monetary policy, and floating FX regime. The sample is limited to the 68 economies with traded sovereign debt for which spreads are available. * p<0.10, ** p<0.05, *** p<0.01.

Sources: IMF Global Policy Tracker; Bloomberg (sovereign spreads); and IMF staff calculations.

Table C. 6: Decomposition of the Fiscal Shield into Transfers and Subsidies

VARIABLES	(1) Producer subsidies	(2) Household transfers
Energy exposure (CE)	0.007	0.009*
	(0.004)	(0.005)
Public debt	0.020	0.057
	(0.057)	(0.062)
CE × Public debt	-0.001	-0.002*
	(0.001)	(0.001)
Income Group (EM vs AE)	-0.547	-1.960**
	(0.607)	(0.859)
Income Group (LIC vs. AE)	-0.121	-3.118***
	(0.706)	(1.067)
Subsidy Medium (vs High)	0.523	-0.046
	(0.702)	(0.862)
Subsidy Low (vs High)	1.046	-0.514
	(0.790)	(0.974)
Constant	-1.924	-1.539
	(1.798)	(2.338)
Observations	223	223
Month Fixed Effects	Yes	Yes
Pseudo R-squared	0.096	0.132
Other controls	Yes	Yes

Note: PPML estimates; coefficients are semi-elasticities. Standard errors clustered by country in parentheses. Energy exposure (CE) is the net energy-import share (average 2021-2023) multiplied by the percentage change in Brent spot prices relative to the pre-crisis baseline. Here we decompose fiscal shield into producer subsidies (to fuel/power, transport, and other firms) and household transfers (cash or in-kind). Reference categories is the lowest inflation quintile, inflation targeters, and floating FX regime. Public debt is gross general-government debt, centered and scaled per 10 percentage points of GDP. Energy subsidy level is constructed from 2025 explicit energy subsidy data (measured as a percentage of GDP) and categorized into terciles: low (bottom third), medium (middle third), and high (top third). Explicit energy subsidies are defined as subsidies arising when the cost of energy supply exceeds the retail price paid by consumers. Outliers are excluded. *** p<0.01, ** p<0.05, *p<0.1

Sources: IMF Global Policy Tracker; and IMF staff calculations.

Table C. 7: Determinants of Monetary Policy Measures to the Energy Shock

VARIABLES	Share of Monetary Measures (Tighten/hold)		Share of Monetary Measures (Tighten/hold)	
	(1)	(2)	(3)	(4)
	Inflation Deviation from 10 year average	Inflation Deviation from 10 year average	Revisions in Inflation Projections	Revisions in Inflation Projections
Energy exposure (CE)	-0.003**	-0.005***	-0.003**	-0.004***
	(0.001)	(0.002)	(0.001)	(0.001)
Inflation	0.088*	0.147*	-0.059	0.024
	(0.053)	(0.079)	(0.093)	(0.108)
CE × Inflation	-0.000	0.001	0.000	0.001
	(0.001)	(0.001)	(0.001)	(0.003)
Income Group (EM vs AE)	0.973*	1.343**	0.757	1.089*
	(0.561)	(0.603)	(0.524)	(0.624)
Income Group (LIC vs. AE)	1.090	1.858**	0.760	1.453*
	(0.783)	(0.749)	(0.769)	(0.746)
Observations	228	175	227	174
Pseudo R-squared	0.070	0.093	114	85
Month fixed effects	Yes	Yes	0.071	0.088
Other Controls	Yes	Yes	Yes	Yes

Note: The dependent variable is the share of monetary measures in a country's monthly policy package and its direction (tightening/hold). Estimates are from Poisson pseudo-maximum likelihood (PPML). Energy exposure (CE) is the net energy-import share (average 2021-2203) multiplied by the percentage change in Brent spot prices relative to the pre-crisis baseline. Inflation is log level deviation from 10 year average. Revisions in Inflation Projections are revisions in headline inflation projections from WEO Jan 2026 and April 2026. Both CE and inflation are centered at their sample means, so the main effect of CE is evaluated at average inflation and the CE × Inflation term gives the change in that effect as inflation moves from its mean. Columns (2) and (4) restricts the sample to economies with an independent monetary policy. Reference categories are advanced economies (income group), floating (exchange-rate regime), and inflation target (monetary framework). Other controls include total subsidies and headline CPI. Standard errors clustered by country are in parentheses. *** p<0.01, ** p<0.05, * p<0.1.

Sources: IMF Global Policy Tracker; and IMF staff calculations.

Table C. 8: Determinants of the Financial Stabilization Measures to the Energy Shock (Full Table)

VARIABLES	(1) Financial	(2) Balance-sheet/Financial support	(3) Financial	(4) Balance-sheet/Financial support	(5) Financial	(6) Balance-sheet/Financial support
Energy Exposure (CE)	-0.005	-0.002	-0.004	0.000	-0.004	0.001
	(0.004)	(0.003)	(0.004)	(0.003)	(0.003)	(0.003)
Public Debt	0.120	0.036				
	(0.088)	(0.061)				
Public Debt (CE)	0.000	-0.001				
	(0.002)	(0.001)				
Income Group (EM vs. AE)	2.179	-0.073	2.099	0.215	1.431	-0.732
	(1.963)	(1.010)	(1.953)	(0.959)	(1.591)	(0.774)
Income Group (LIC vs. AE)	2.646	-0.221	2.508	0.235	2.936	0.060
	(2.019)	(1.125)	(1.967)	(1.053)	(1.953)	(0.972)
Headline CPI	-0.005	0.006	0.040*	0.043**	0.003	0.007
	(0.015)	(0.011)	(0.024)	(0.020)	(0.011)	(0.011)
Subsidy Medium (vs High)	-0.784	-0.559	-0.379	-0.293	-0.616	-0.527
	(0.984)	(0.643)	(0.940)	(0.622)	(0.692)	(0.555)
Subsidy Low (vs High)	-1.043**	-0.791*	-0.939	-0.633	-1.180*	-0.826*
	(0.446)	(0.420)	(0.587)	(0.468)	(0.642)	(0.502)
Inflation deviation			0.005	0.022		
			(0.045)	(0.036)		
Inflation deviation (CE)			0.000	0.000		
			(0.001)	(0.001)		
Reserve Adequacy					1.011***	0.810***
					(0.354)	(0.226)
Reserve Adequacy (CE)					0.009**	0.006*
					(0.004)	(0.004)
Observations	223	223	228	228	228	228
Pseudo R^2	0.159	0.071	0.164	0.085	0.193	0.105
Other controls	Yes	Yes	Yes	Yes	Yes	Yes

Note: The dependent variable is the share of financial stabilization measures in a country's monthly policy package. Estimates are from Poisson pseudo-maximum likelihood (PPML). Energy exposure (CE) is the net energy-import share (average 2021-2203) multiplied by the percentage change in Brent spot prices relative to the pre-crisis baseline. Inflation is log level deviation from 10 year average. Revisions in Inflation Projections are revisions in headline inflation projections from WEO Jan 2026 and April 2026. Reserves are reserve adequacy from the ARA metric .Both CE and inflation are centered at their sample means, so the main effect of CE is evaluated at average inflation and the CE × Inflation term gives the change in that effect as inflation moves from its mean. Reference categories are advanced economies (income group), floating (exchange-rate regime), and inflation target (monetary framework). Standard errors clustered by country are in parentheses. *** p<0.01, ** p<0.05, * p<0.1.

Sources: IMF Global Policy Tracker; and IMF staff calculations.

Table C. 9: Fiscal Shield Composition Across Tracker Releases

VARIABLES	Tracker v1 (end Feb–early Jun)	Tracker v2 (end Feb–late Jun)	Tracker v2 (end Feb–Jul)	Tracker v2 (end Feb–Aug)	Tracker v2 (end Feb–Sep)
Panel A. Producer Subsidies					
Energy exposure	0.007^	0.009**	0.008**	0.008**	0.008***
	(0.004)	*(0.004)*	*(0.003)*	*(0.003)*	*(0.003)*
Public debt	0.020	0.010	0.005	0.011	0.004
	(0.057)	*(0.040)*	*(0.037)*	*(0.036)*	*(0.036)*
CE × Public debt	**-0.001**	**-0.001**	**-0.001**	**-0.001**	**-0.001**
	(0.001)	*(0.001)*	*(0.001)*	*(0.001)*	*(0.001)*
Observations	223	272	305	320	349
Countries	Not reported	114	114	114	116
Panel B. Household Transfers					
Energy exposure	0.009*	0.008**	0.007**	0.007**	0.007**
	(0.005)	*(0.004)*	*(0.004)*	*(0.004)*	*(0.004)*
Public debt	0.057	0.053	0.036	0.035	0.035
	(0.062)	*(0.060)*	*(0.058)*	*(0.058)*	*(0.057)*
CE × Public debt	**-0.002***	**-0.001***	**-0.001**	**-0.001**	**-0.001**
	(0.001)	*(0.001)*	*(0.001)*	*(0.001)*	*(0.001)*
Observations	223	238	271	271	271
Countries	Not reported	114	114	114	114

Notes: PPML estimates; coefficients are semi-elasticities. Standard errors clustered by country are in parentheses. * p<0.10, ** p<0.05, *** p<0.01. ^ indicates significance using one standard deviation confidence intervals. Controls and time fixed effects included. Full set of results available upon request. Tracker v1 includes the first data release from February 28 to June 4. Tracker v2 indicates the second data release through September 15 and revisions to the previous data vintage.

Source: IMF Global Policy Tracker; Authors' estimates.

Table C. 10: Monetary and Financial Policy Results Across Tracker Releases

VARIABLES	Tracker v1 (end Feb–early Jun)	Tracker v2 (end Feb–late Jun)	Tracker v2 (end Feb–Jul)	Tracker v2 (end Feb–Aug)	Tracker v2 (end Feb–Sep)
Panel A. Monetary Policy — Inflation Deviation					
Energy exposure	-0.003**	-0.007***	-0.006***	-0.006***	-0.005***
	(0.001)	(0.001)	(0.001)	(0.001)	(0.001)
Inflation deviation	**0.088***	**0.079***	**0.072****	**0.047**	**0.044**
	(0.053)	**(0.045)**	**(0.035)**	**(0.035)**	**(0.036)**
CE × inflation deviation	-0.000	0.001	0.001	0.001	0.001
	(0.001)	(0.001)	(0.001)	(0.001)	(0.001)
Observations	228	275	309	324	352
Countries	Not reported	116	116	116	118
Panel B. Financial Stabilization — Without BTL					
Energy exposure	-0.004^	-0.004	0.001	0.001	0.001
	(0.003)	(0.005)	(0.004)	(0.004)	(0.004)
Reserves	1.011***	-0.276	-0.040	-0.024	-0.067
	(0.354)	(0.524)	(0.388)	(0.385)	(0.382)
CE × reserves	**0.009****	**0.035*****	**0.025*****	**0.025*****	**0.026*****
	(0.004)	**(0.012)**	**(0.009)**	**(0.009)**	**(0.008)**
Observations	228	213	309	309	309
Countries	Not reported	91	117	117	117
Panel C. Financial Stabilization — With BTL					
Energy exposure	0.001	0.003	0.003	0.003	0.003
	(0.003)	(0.003)	(0.003)	(0.003)	(0.003)
Reserves	**0.810*****	**0.585***	**0.597****	**0.607****	**0.575***
	(0.226)	**(0.310)**	**(0.301)**	**(0.301)**	**(0.306)**
CE × reserves	**0.006***	**0.008**	**0.008**	**0.008**	**0.008**
	(0.004)	**(0.006)**	**(0.006)**	**(0.006)**	**(0.006)**
Observations	228	276	309	324	324
Countries	Not reported	117	117	117	117

Notes: PPML estimates; coefficients are semi-elasticities. Standard errors clustered by country are in parentheses. * p<0.10, ** p<0.05, *** p<0.01.. Controls and time fixed effects included. Full set of results available upon request. Tracker v1 includes the first data release from February 28 to June 4. Tracker v2 indicates the second data release through September 15 and revisions to the previous data vintage.

Source: IMF Global Policy Tracker; Authors' estimates.

Table C. 11: Determinants of Quality of Responses (Temporary)

VARIABLES	Temporary (GOV)	Temporary (0–2) (INC)	Temporary (FCS)
Energy exposure (CE)	-0.001	-0.001	-0.001*
	(0.000)	(0.000)	(0.000)
Public debt	0.007	0.008	0.008
	(0.009)	(0.009)	(0.009)
CE × Public debt	-0.000	-0.000	-0.000
	(0.000)	(0.000)	(0.000)
Headline Inflation	-0.001	-0.000	-0.000
	(0.004)	(0.003)	(0.003)
Subsidy Medium (vs High)	0.007	0.063	-0.012
	(0.075)	(0.079)	(0.076)
Subsidy Low (vs High)	0.076	0.106	0.073
	(0.069)	(0.071)	(0.070)
Election (year 2026)	-0.115*	-0.102*	-0.105*
	(0.060)	(0.061)	(0.061)
IMF program	-0.056	-0.046	-0.022
	(0.067)	(0.067)	(0.062)
Income Group (EM vs AE)		0.132	
		(0.082)	
Income Group (LIC vs. AE)		0.049	
		(0.099)	
Fragile and Conflict States			-0.095
			(0.098)
Measures	574	574	574
Countries	102	102	102
R-squared	0.183	0.191	0.181
Measure and Month Fixed Effect	Yes	Yes	Yes
Other controls	Yes	Yes	Yes

Note: OLS at the measure level; Temporary is a binary indicator taking the value one when a policy measure contains a clearly specified expiry date or sunset provision, and zero otherwise. SEs clustered by country in parentheses. Reference groups: inflation-targeting (monetary framework), floating (FX), advanced economies (income).* p<0.10, ** p<0.05, *** p<0.01.

Sources: IMF Global Policy Tracker; and IMF staff calculations.

Table C. 12: Determinants of Quality of Responses (TT Score)

VARIABLES	TT score (0–2) (GOV)	TT score (0–2) (INC)	TT score (0–2) (FCS)
Energy exposure (CE)	0.000	0.000	-0.000
	(0.001)	(0.001)	(0.000)
Public debt	-0.000	0.001	0.003
	(0.014)	(0.014)	(0.014)
CE × Public debt	-0.000	-0.000	-0.000
	(0.000)	(0.000)	(0.000)
Headline Inflation	-0.007	-0.006*	-0.006
	(0.005)	(0.004)	(0.004)
Subsidy Medium (vs High)	-0.003	0.094	-0.020
	(0.102)	(0.107)	(0.104)
Subsidy Low (vs High)	-0.001	0.050	0.002
	(0.093)	(0.093)	(0.092)
Election (year 2026)	-0.178**	-0.159**	-0.168**
	(0.074)	(0.074)	(0.076)
IMF program	-0.117	-0.103	-0.064
	(0.091)	(0.086)	(0.082)
Income Group (EM vs AE)		0.202**	
		(0.098)	
Income Group (LIC vs. AE)		0.059	
		(0.118)	
Fragile and Conflict States			-0.203
			(0.134)
Measures	574	574	574
Countries	102	102	102
R-squared	0.183	0.191	0.181
Measure and Month Fixed Effect	Yes	Yes	Yes
Other controls	Yes	Yes	Yes

Note: OLS at the measure level; TT score is the 0–2 sum between temporary and targeted measure. Month and policy-tool fixed effects. SEs clustered by country in parentheses. Reference groups: inflation-targeting (monetary framework), floating (FX), advanced economies (income). * p<0.10, ** p<0.05, *** p<0.01.

Sources: IMF Global Policy Tracker; and IMF staff calculations.

Table C. 13: Public Debt and the Composition of Adjustment to the Energy Shock (Using Futures and 2022 Exposure)

	(1)	(2)	(3)	(4)	(5)	(6)
VARIABLES	Fiscal Shield	Price Pass-Through	Consumer Price and Income Protection	Real Demand	Real Supply (+Trade)	Real Supply
Energy exposure (CE)	-0.000	0.0132***	-0.001	-0.001	0.000	0.001
	(0.002)	(0.0041)	(0.001)	(0.003)	(0.002)	(0.002)
Public debt	0.040*	-0.0196	0.026	-0.005	0.041	0.025
	(0.023)	(0.0506)	(0.021)	(0.061)	(0.030)	(0.035)
CE × Public debt	-0.001**	0.0029**	-0.001**	0.001	-0.002***	-0.002**
	(0.000)	(0.0012)	(0.000)	(0.001)	(0.001)	(0.001)
Income Group (EM vs AE)	-0.135	1.215	-0.078	-0.534	-0.564**	-0.533
	(0.260)	(0.798)	(0.215)	(1.146)	(0.286)	(0.350)
Income Group (LIC vs. AE)	-0.725**	1.692*	-0.646**	0.037	-0.511	-0.331
	(0.356)	(0.866)	(0.299)	(1.329)	(0.357)	(0.468)
Subsidy Medium (vs High)	1.101***	0.182	0.886***	-2.180***	-1.034***	-0.822**
	(0.273)	(0.388)	(0.230)	(0.707)	(0.331)	(0.377)
Subsidy Low (vs High)	0.877***	0.854**	0.634***	-0.922**	-0.854***	-0.950***
	(0.289)	(0.370)	(0.245)	(0.421)	(0.311)	(0.345)
Observations	276	276	276	276	276	276
Pseudo-R^2	0.059	0.099	0.049	0.133	0.064	0.058
Month fixed effects	Yes	Yes	Yes	Yes	Yes	Yes
Other Controls	Yes	Yes	Yes	Yes	Yes	Yes

Note: PPML estimates; coefficients are semi-elasticities. Standard errors clustered by country in parentheses. Exposure is measured using the Brent futures instead of spot prices and using 2022 net energy import instead of the average. Fiscal shield comprises measures that cushion households and firms from higher energy costs through the budget: energy and broad-based tax or excise relief (fuel, electricity, food, transport), producer subsidies (to fuel/power, transport, and other firms), and household transfers (cash or in-kind). Price pass-through comprises measures that transmit higher costs to consumers: spending cuts, energy windfall and broad-based tax increases, explicit decisions to pass through energy price hikes, and administered increases in fuel, electricity, or other regulated prices. Consumer price and income protection combines the fiscal shield with administrative price caps (regulatory caps on fuel, electricity, or other prices, with fiscal link unclear), capturing all measures that hold domestic prices below their market level. Real supply and trade combines supply-side measures with trade measures (taxonomy Real – Supply and Trade). Monetary tightening/hold comprises policy-rate increases and explicit decisions to hold the rate, so that a hold is treated as an active stance rather than the absence of a measure. All are defined at the measure level from the Tracker's detailed taxonomy and expressed as shares of a country's total announced measures in each month (more details can be found in Table A.1 in Annex A). Other Controls comprise a governance index (mean of five WGI percentile ranks, 2024), and inflation-quintile indicators; and monetary regime, FX regime, reference categories the lowest inflation quintile, no independent monetary policy, and floating FX regime. Public debt is gross general-government debt, centered and scaled per 10 percentage points of GDP. Energy subsidy level is constructed from 2025 explicit energy subsidy data (measured as a percentage of GDP) and categorized into terciles: low (bottom third), medium (middle third), and high (top third). Explicit energy subsidies are defined as subsidies arising when the cost of energy supply exceeds the retail price paid by consumers. Outliers are excluded. *** p<0.01, ** p<0.05, *p<0.1

Sources: IMF Global Policy Tracker; and IMF staff calculations.

Table C. 14: Public Debt and the Composition of Adjustment to the Energy Shock (Using Regional Spot Prices)

VARIABLES	(1) Fiscal Shield	(2) Price Pass-Through	(3) Consumer Price and Income Protection	(4) Real Demand	(5) Real Supply (+Trade)	(6) Real Supply
Energy exposure (CE)	0.001	0.0120***	0.000	-0.000	0.001	0.001
	(0.002)	(0.0038)	(0.001)	(0.004)	(0.002)	(0.002)
Public debt	0.012	-0.0540	0.010	-0.064	0.052**	0.034
	(0.027)	(0.0770)	(0.025)	(0.066)	(0.025)	(0.033)
CE × Public debt	-0.001**	0.0026**	-0.001**	0.001	-0.001***	-0.001**
	(0.000)	(0.0011)	(0.000)	(0.001)	(0.000)	(0.001)
Subsidy Medium (vs High)	1.129***	0.9687*	0.939***	-2.284***	-1.037***	-0.769*
	(0.345)	(0.5606)	(0.292)	(0.814)	(0.363)	(0.445)
Subsidy Low (vs High)	0.816**	1.0441**	0.621**	-1.389***	-0.531	-0.596
	(0.364)	(0.5081)	(0.312)	(0.529)	(0.368)	(0.451)
Observations	223	223	223	223	223	223
Pseudo-R^2	0.052	0.097	0.042	0.220	0.088	0.077
Month fixed effects	Yes	Yes	Yes	Yes	Yes	Yes
Other Controls	Yes	Yes	Yes	Yes	Yes	Yes

Note: PPML estimates; coefficients are semi-elasticities. Standard errors clustered by country in parentheses. Energy exposure (CE) is the net energy-import share (average 2021-2023) multiplied by the percentage change in regional spot prices benchmarks relative to the pre-crisis baseline. Regional spot-price benchmarks are constructed using West Texas Intermediate (WTI) for North and Central America, Búzios crude for Latin America, Dated Brent for Europe, the Dubai/Oman benchmark for Asia, and Qua Iboe crude for Africa.Other Controls comprise a governance index (mean of five WGI percentile ranks, 2024), and inflation-quintile indicators; and monetary regime, FX regime, reference categories the lowest inflation quintile, inflation targeters, and floating FX regime. Public debt is gross general-government debt, centered and scaled per 10 percentage points of GDP. Energy subsidy level is constructed from 2025 explicit energy subsidy data (measured as a percentage of GDP) and categorized into terciles: low (bottom third), medium (middle third), and high (top third). Explicit energy subsidies are defined as subsidies arising when the cost of energy supply exceeds the retail price paid by consumers. Outliers are excluded. *** p<0.01, ** p<0.05, *p<0.1. Sources: IMF Global Policy Tracker; Authors' estimates

Table C. 15: Importers versus Exporters

VARIABLES	Fiscal Shield	Pass-Through	Consumer Price and Income Protection	Real Demand	Real Supply (+Trade)	Real Supply
CE × Debt (Exporters)	-0.001	0.0003	-0.0005	-0.0556	0.0009	0.0012
	(0.0018)	(0.0097)	(0.0016)	(0.0259)	(0.0018)	(0.0022)
CE × Debt (Importers)	-0.0004	0.0018	-0.0004	0.0012	-0.0015	-0.0011
	(0.0004)	(0.0011)	(0.0003)	(0.0009)	(0.0006)	(0.0008)
Difference (Importer − Exporter)	0.0006	0.0014	0.0001	0.0567**	-0.0024	-0.0023
	(0.0018)	(0.01)	(0.0017)	(0.0261)	(0.002)	(0.0025)
p-value: Importer = Exporter	0.734	0.885	0.956	0.03	0.234	0.356

Note: PPML estimates; coefficients are semi-elasticities. Standard errors clustered by country in parentheses. Energy exposure (CE) is the net energy-import share (average 2021-2203) multiplied by the percentage change in brent spot prices relative to the pre-crisis baseline. Outliers are excluded. *** p<0.01, ** p<0.05, *p<0.1 Sources: IMF Global Policy Tracker; and IMF staff calculations.



PUBLICATIONS

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